

Industry ↴

# 980 Regulated Operations

## 980 Regulated Operations

### 10 Overall

#### 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

|             |                                                                   |            |                                                                                                                                  |            |
|-------------|-------------------------------------------------------------------|------------|----------------------------------------------------------------------------------------------------------------------------------|------------|
| 980-10-00-1 | The following table identifies the changes made to this Subtopic. |            |                                                                                                                                  |            |
|             | Paragraph                                                         | Action     | Accounting Standards Update                                                                                                      | Date       |
|             | 980-10-05-1                                                       | Amended    | <a href="#">Maintenance Update 2016-05</a>  | 04/12/2016 |
|             | 980-10-05-1                                                       | Amended    | <a href="#">Accounting Standards Update No. 2014-09</a>                                                                          | 05/28/2014 |
|             | 980-10-15-6                                                       | Superseded | <a href="#">Accounting Standards Update No. 2014-10</a>                                                                          | 06/10/2014 |

## 05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

|             |                                                                  |  |  |  |
|-------------|------------------------------------------------------------------|--|--|--|
| 980-10-05-1 | The Regulated Operations Topic includes the following Subtopics: |  |  |  |
|             | a. Overall                                                       |  |  |  |
|             | b. Discontinuation of Rate-Regulated Accounting                  |  |  |  |

- c. Accounting Changes and Error Corrections
- d. Other Assets and Deferred Costs
- e. Intangibles—Goodwill and Other
- f. Property, Plant, and Equipment
- g. Liabilities
- h. Asset Retirement and Environmental Obligations
- i. Contingencies
- j. Debt
- k. Revenue Recognition—Alternative Revenue Programs
- l. Compensation—General
- m. Compensation—Retirement Benefits
- n. Income Taxes
- o. Consolidation
- oo. Derivatives and Hedging
- p. Interest
- q. Leases.

**980-10-05-2** The Overall Subtopic provides guidance on the accounting and reporting for entities with regulated operations.

## > Effect of Regulatory Accounting

**980-10-05-3** Regulation of an entity's rates (also referred to as prices) is sometimes based on the entity's costs. Regulators use a variety of mechanisms to estimate a regulated entity's [allowable costs](#), and they allow the entity to charge rates that are intended to produce revenue approximately equal to those allowable costs. Specific costs that are allowable for rate-making purposes result in revenue approximately equal to the costs.

**980-10-05-4** In most cases, allowable costs are used as a means of estimating costs of the period during which the rates will be in effect, and there is no intent to permit recovery of specific prior costs. The process is a way of setting prices—the results of the process are reported in general-purpose financial statements in accordance with the same accounting principles that are used by unregulated entities.

**980-10-05-5** Regulators sometimes include costs in allowable costs in a period other than the period in which the costs would be charged to expense by an unregulated entity. For the regulated entity, that procedure can do any of the following:

- a. Create assets (future cash inflows that will result from the rate-making process)
- b. Reduce assets (reductions of future cash inflows that will result from the rate-making process)
- c. Create liabilities (future cash outflows that will result from the rate-making process).

**980-10-05-6** For general-purpose financial reporting, an [incurred cost](#) for which a regulator permits recovery in a future period is accounted for like an incurred cost that is reimbursable under a cost-reimbursement-type contract.

**980-10-05-7** Accounting requirements that are not directly related to the economic effects of rate actions may be imposed on regulated businesses by orders of regulatory authorities and occasionally by court decisions or statutes. This does not necessarily mean that those accounting requirements conform with generally accepted accounting principles (GAAP). For example, a regulatory authority may order an entity to [capitalize](#) and amortize a cost that would be charged to income currently by an unregulated

entity. Unless capitalization of that cost is appropriate under this Topic, GAAP requires the regulated entity to charge the cost to current income.

**980-10-05-8** Unless an accounting order indicates the way a cost will be handled for rate-making purposes, it causes no economic effects that would justify deviation from the GAAP applicable to business entities in general. The mere issuance of an accounting order not tied to rate treatment does not change an entity's economic resources or obligations. In other words, the economic effect of regulatory decisions—not the mere existence of regulation—is the pervasive factor that determines the application of GAAP.

## 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

**i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**980-10-15-1** The Subtopics within the Regulated Operations Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Regulated Operations Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

### > Entities

**980-10-15-2** The guidance in the Regulated Operations Topic applies to general-purpose external financial statements of an entity that has regulated operations that meet all of the following criteria:

- The entity's rates for regulated services or products provided to its customers are established by or are subject to approval by an independent, third-party regulator or by its own governing board empowered by statute or contract to establish rates that bind customers.

b. The regulated rates are designed to recover the specific entity's costs of providing the regulated services or products. This criterion is intended to be applied to the substance of the regulation, rather than its form. If an entity's regulated rates are based on the costs of a group of entities and the entity is so large in relation to the group of entities that its costs are, in essence, the group's costs, the regulation would meet this criterion for that entity.

c. In view of the demand for the regulated services or products and the level of competition, direct and indirect, it is reasonable to assume that rates set at levels that will recover the entity's costs can be charged to and collected from customers. This criterion requires consideration of anticipated changes in levels of demand or competition during the recovery period for any capitalized costs. This last criterion is not intended as a requirement that the entity earn a fair return on shareholders' investment under all conditions; an entity can earn less than a fair return for many reasons unrelated to the ability to bill and collect rates that will recover [allowable costs](#). For example, mild weather might reduce demand for energy utility services. In that case, rates that were expected to recover an entity's allowable costs might not do so. The resulting decreased earnings do not demonstrate an inability to charge and collect rates that would recover the entity's costs; rather, they demonstrate the uncertainty inherent in estimating weather conditions. This requirement must also be evaluated in light of the circumstances. For example, if the entity has an exclusive franchise to provide regulated services or products in an area and competition from other services or products is minimal, there is usually a reasonable expectation that it will continue to meet the other criteria. Exclusive franchises can be revoked, but they seldom are. If the entity has no exclusive franchise but has made the very large capital investment required to provide either the regulated services or products or an acceptable substitute, future competition also may be unlikely.

**980-10-15-3** In some cases, the rates set by state regulatory agencies are accepted for Medicare and Medicaid reimbursement purposes. There is some disagreement about the extent to which such rates are based on a provider's costs. If regulatory agencies in those states base rates on the provider's costs and adopt a permanent system of regulation, health care providers in those jurisdictions could be subject to the provisions of this Topic. However, the criterion in (c) in the preceding paragraph also would have to be considered to determine whether this Topic applies to the entity.

**980-10-15-4** If some of an entity's operations are regulated and meet the criteria of paragraph [980-10-15-2](#), this Topic shall be applied to only that portion of the entity's operations.

**980-10-15-5** Guidance in other Codification Topics that applies to entities in general also applies to regulated entities. However, entities subject to this Topic shall apply it instead of any conflicting provisions of other parts of the Codification. For example, a regulator might authorize a regulated entity to incur a major research and development cost because the cost is expected to benefit future customers. The regulator might also direct that cost to be capitalized and amortized as an allowable cost over the period of expected benefit. If the criteria of paragraph [980-340-25-1](#) are met, the entity shall [capitalize](#) that cost even though Subtopic [730-10](#) requires such costs to be charged to income currently. That Subtopic shall still apply to accounting for other research and development costs of the regulated entity, as shall the disclosure requirements of that Subtopic.

**980-10-15-6** [Paragraph superseded by Accounting Standards Update No. 2014-10.](#)

## > Transactions

**980-10-15-7** The guidance in the Regulated Operations Topic does not apply to any of the following transactions:

- a. Accounting for price controls that are imposed by governmental action in times of emergency, high inflation, or other unusual conditions, or accounting for contracts in general. However, if the terms of a contract between an entity and its customer are subject to regulation and the criteria

of paragraph [980-10-15-2](#) are met with respect to that contract, the guidance in this Topic shall apply.

b. An entity's regulatory accounting. Regulators may require regulated entities to maintain their accounts in a form that permits the regulator to obtain the information needed for regulatory purposes. This Topic neither limits a regulator's actions nor endorses them. Regulators' actions are based on many considerations. Accounting addresses the effects of those actions. This Topic merely specifies how the effects of different types of rate actions are reported in general-purpose financial statements.

c. The criterion in paragraph [980-10-15-2\(a\)](#) is intended to exclude contractual arrangements in which the government, or another party that could be viewed as a regulator, is a party to a contract and is the entity's principal customer.

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

### Capitalize

Capitalize is used to indicate that the cost would be recorded as the cost of an asset. That procedure is often referred to as deferring a cost, and the resulting asset is sometimes described as a deferred cost.

### Incurred Cost

A cost arising from cash paid out or obligation to pay for an acquired asset or service, a loss from any cause that has been sustained and has been or must be paid for.

## S00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**980-10-S00-1** No updates have been made to this subtopic.

# S45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

### > Income Statement Presentation

**980-10-S45-1** See paragraph [220-10-S99-2](#), Regulation S-X Rule 5-03.1, for the income statement presentation requirements for a public utility company.

### > Cost of Power Obtained Under Long-Term Purchase Contracts

**980-10-S45-2** See paragraph [980-10-S99-1](#), SAB Topic 10.D, for SEC Staff views on the presentation of cost of power obtained under long-term purchase contracts.

# S50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

### > Cost of Power Obtained Under Long-Term Purchase Contracts

**980-10-S50-1** See paragraph [980-10-S99-1](#), SAB Topic 10.D, for SEC Staff views on the disclosure requirements for cost of power obtained under long-term purchase contracts.

## S99 SEC Materials

**General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

### > SEC Staff Guidance

· > Staff Accounting Bulletins

·· > SAB Topic 10.D, Long-Term Contracts for Purchase of Electric Power

**980-10-S99-1** The following is the text of SAB Topic 10.D, Long-Term Contracts for Purchase of Electric Power.

Facts: Under long-term contracts with public utility districts, cooperatives or other organizations, a utility company receives a portion of the output of a production plant constructed and financed by the district or cooperative. The utility has only a nominal or no investment at all in the plant but pays a proportionate part of the plant's costs, including debt service. The contract may be in the form of a sale of a generating plant and its immediate lease back. The utility is obligated to pay certain minimum amounts which cover debt service requirements whether or not the plant is operating. At the option of other parties to the contract and in accordance with a predetermined schedule, the utility's proportionate share of the output may be reduced. Separate agreements may exist for the transmission of power to the utility's system. <sup>FN2</sup>.

FN2 Registrants are reminded that the arrangement may contain a guarantee that is within the scope of Interpretation 45 [Topic 460]. Further, registrants should consider the guidance of Interpretation 46 [Topic 810]. Also, registrants would need to consider whether the arrangement contains a derivative that should be accounted for according to Statement 133 [Topic 815].

Question: How should the cost of power obtained under long-term purchase contracts be reflected on the financial statements and what supplemental disclosures should be made in notes to the statements?

Interpretive Response: The cost of power obtained under long-term purchase contracts, including payments required to be made when a production plant is not operating, should be included in the operating expenses section of the income statement. A note to the financial statements should present information concerning the terms and significance of such contracts to the utility company including date of contract expiration, share of plant output being purchased, estimated annual cost, annual minimum debt service payment required and amount of related long-term debt or lease obligations outstanding.

Additional disclosure should be given if the contract provides, or is expected to provide, in excess of five percent of current or estimated future system capability. This additional disclosure may be in the form of separate financial statements of the vendor entity or inclusion of the amount of the obligation under the contract as a liability on the balance sheet with a corresponding amount as an asset representing the right to purchase power under the contract.

The note to the financial statements should disclose the allocable portion of interest included in charges under such contracts.

980 Regulated Operations

20 Discontinuation of Rate-Regulated Accounting

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

**980-20-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph   | Action  | Accounting Standards Update                                                                                                      | Date       |
|-------------|---------|----------------------------------------------------------------------------------------------------------------------------------|------------|
| 980-20-40-4 | Amended | <a href="#">Accounting Standards Update No. 2015-01</a>                                                                          | 01/09/2015 |
| 980-20-45-1 | Amended | <a href="#">Maintenance Update 2016-11</a>  | 06/27/2016 |

|                              |         |                                                                                                                                |            |
|------------------------------|---------|--------------------------------------------------------------------------------------------------------------------------------|------------|
| <a href="#">980-20-50-2</a>  | Amended | <a href="#">Maintenance Update 2017-19</a>  | 11/15/2017 |
| <a href="#">980-20-50-2</a>  | Amended | <a href="#">Accounting Standards Update No. 2015-01</a>                                                                        | 01/09/2015 |
| <a href="#">980-20-55-4</a>  | Amended | <a href="#">Accounting Standards Update No. 2015-01</a>                                                                        | 01/09/2015 |
| <a href="#">980-20-55-9</a>  | Amended | <a href="#">Accounting Standards Update No. 2015-01</a>                                                                        | 01/09/2015 |
| <a href="#">980-20-55-13</a> | Amended | <a href="#">Accounting Standards Update No. 2015-01</a>                                                                        | 01/09/2015 |

# 05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 980-20-05-1** This Subtopic addresses the discontinuation of rate-regulated accounting when an entity no longer meets the criteria in paragraph [980-10-15-2](#).
- 980-20-05-2** Deregulation of certain industries and changes in the method of regulating others have caused several entities to discontinue application of this Topic for some or all of their operations.

# 15 Scope and Scope Exceptions

 **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 980-20-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#), with specific exceptions as noted below, which provides further guidance on an entity's operations that no longer meet the criteria of regulated operations.

## > Entities

- 980-20-15-2** Failure of an entity's operations to continue to meet the criteria in paragraph [980-10-15-2](#) can result from different causes. Examples include the following:
- Deregulation
  - A change in the regulator's approach to setting rates from cost-based rate-making to another form of regulation
  - Increasing competition that limits the entity's ability to sell utility services or products at rates that will recover costs (as used in paragraph [980-10-15-2](#))
  - Regulatory actions resulting from resistance to rate increases that limit the entity's ability to sell utility services or products at rates that will recover costs if the entity is unable to obtain (or chooses not to seek) relief from prior regulatory actions through appeals to the regulator or the courts.
- 980-20-15-3** Regardless of the reason for an entity's discontinuation of application of the Regulated Operations Topic, this Subtopic specifies how that discontinuation shall be reported in the entity's general-purpose external financial statements.

## 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### [Allowance for Funds Used during Construction](#)

The cost of financing construction as financed partially by borrowings and partially by equity, capitalized as part of the cost of plant and equipment pursuant to requirements of the regulator.

### [Regulatory Assets and Regulatory Liabilities](#)

Regulatory assets and regulatory liabilities are those assets and liabilities recognized pursuant to the provisions of paragraphs [980-340-25-1](#) and [980-405-25-1](#). These assets and liabilities are not recognized by entities in general.

## 35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

### > Discontinuation of Recognition Following Regulator Actions

**980-20-35-1** An entity that discontinues application of the Regulated Operations Topic shall no longer recognize the effects of actions of a regulator as assets or liabilities unless the right to receive payment or the obligation to pay exists as a result of past events or transactions and regardless of future transactions.

### > Plant, Equipment, and Inventory

**980-20-35-2** This Subtopic requires that upon the discontinuation of rate-regulated accounting, the carrying amounts of the plant, equipment, and inventory measured and recorded pursuant to this Topic shall not be adjusted unless those assets are impaired.

**980-20-35-3** The carrying amounts of plant, equipment, and inventory for entities applying this Topic differ from those for entities in general only because of the [allowance for funds used during construction](#), intra-entity profit, and disallowances of costs of recently completed plants. If any other amounts that would not be includable in the carrying amounts of plant, equipment, or inventory by entities in general are included in or netted against the carrying amounts of plant, equipment, and inventory, those amounts shall be separated from the carrying amounts of plant, equipment, and inventory and accounted for as prescribed in this Subtopic.

**980-20-35-4** For example, postconstruction operating costs that were capitalized pursuant to paragraph [980-340-25-1](#) represent the effects of actions of a regulator regardless of their classification in the financial statements and shall be accounted for as this Subtopic prescribes for the effects of actions of a regulator.

**980-20-35-5** Another example of the effect of actions of a regulator that would require adjustment is the cumulative difference, if any, between recorded depreciation and depreciation computed using a generally accepted method of depreciation.

### > Regulatory Assets and Liabilities Originating in a Separable Portion of the Entity

**980-20-35-6** The [regulatory assets and regulatory liabilities](#) that originate in a separable portion of an entity to which this Subtopic is applied shall be evaluated on the basis of where (that is, the portion of the business in which) the regulated cash flows to realize and settle them, respectively, will be derived. Regulated cash flows are from rates that are charged to customers and intended by regulators to be

for the recovery of the specified regulatory assets and the settlement of regulatory liabilities. They are derived from a levy on rate-regulated goods or services provided by another separable portion of the entity that meets the criteria of paragraph [980-10-15-2](#) for application of this Topic.

**980-20-35-7**

There is no elimination of the regulatory assets and regulatory liabilities that originate in the separable portion of the business to which this Subtopic is applied and for which the deregulatory legislation or rate order (whichever is necessary to effect change in the jurisdiction) specifies the collection of regulated cash flows until any of the following occur:

- a. They are recovered by (in the case of assets) or settled through (in the case of liabilities) collection of regulated cash flows.
- b. They are individually impaired (in the case of assets) or the regulator eliminates the obligation (in the case of liabilities) as specified by the provisions of this Topic.
- c. The separable portion of the business from which the regulated cash flows are derived no longer meets the criteria of paragraph [980-10-15-2](#) for application of this Topic.

**980-20-35-8**

The source of the cash flow approach adopted in paragraphs [980-20-35-6 through 35-9](#) shall be used for recoveries of all costs and settlements of all obligations (not just for regulatory assets and regulatory liabilities that are recorded at the date this Subtopic is applied) for which regulated cash flows are specifically provided in the deregulatory legislation or rate order (whichever is necessary to effect change in the jurisdiction).

**980-20-35-9**

A cost or an obligation is recognized as a regulatory asset or a regulatory liability within the separable portion of the entity from which the regulated cash flows for its recovery or settlement, respectively, are derived once it meets both of the following conditions:

- a. Expensed or incurred after this Subtopic is applied to the portion of the business where it originated (such as the loss on the sale of an electricity generating plant or the loss on the buy-out of a purchased power contract that is recognized after this Subtopic is applied to the generation portion of the business)
- b. Specified for recovery or settlement in the deregulatory legislation or a rate order (whichever is necessary to effect change in the jurisdiction) and is recovered or settled in the same manner (that is, via regulated cash flows) as the regulatory assets and regulatory liabilities described in paragraphs [980-20-35-6 through 35-9](#).

Those regulatory assets and regulatory liabilities shall be carried in this other separable portion of the business until they are collected or settled, until they are individually impaired (assets) or eliminated (liabilities), or until that separable portion of the business no longer meets the criteria of paragraph [980-10-15-2](#) for application of this Topic.

## 40 Derecognition

**i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

# General

## > Discontinuation of Regulatory Operations Guidance

- 980-20-40-1** When an entity determines that its operations in a regulatory jurisdiction no longer meet the criteria of paragraph [980-10-15-2](#) for application of the Regulated Operations Topic, that entity shall discontinue application of this Topic to its operations in that jurisdiction. If a separable portion of the entity's operations within a regulatory jurisdiction ceases to meet the criteria of that paragraph for application of this Topic, application of this Topic to that separable portion shall be discontinued. That situation creates a presumption that application of this Topic shall be discontinued for all of the entity's operations within that regulatory jurisdiction. That presumption can be overcome by establishing that the entity's other operations within that jurisdiction continue to meet the criteria of paragraph [980-10-15-2](#) for application of this Topic. The separable portion may be an entity's operations within a regulatory jurisdiction or a smaller portion (such as a customer class within a regulatory jurisdiction), either of which could require the allocation of system-wide assets and liabilities.
- 980-20-40-2** When an entity discontinues application of this Topic to all or part of its operations, that entity shall eliminate from its statement of financial position prepared for general-purpose external financial reporting the effects of any actions of regulators that had been recognized as assets and liabilities pursuant to this Topic but would not have been recognized as assets and liabilities by entities in general, and the Impairment or Disposal of Long-Lived Assets Subsections of Subtopic [360-10](#) shall apply, except for the provisions for income statement reporting in paragraphs [360-10-45-4](#) and [360-10-50-2](#). However, the carrying amounts of plant, equipment, and inventory measured and reported pursuant to this Topic shall not be adjusted unless those assets are impaired, in which case the carrying amounts of those assets shall be reduced to reflect that impairment.
- 980-20-40-3** The carrying amounts of plant, equipment, and inventory for entities applying this Topic differ from those for entities in general only because of the [allowance for funds used during construction](#), intra-entity profit, and disallowances of costs of recently completed plants. If any other amounts that would not be includable in the carrying amounts of plant, equipment, or inventory by entities in general (such as postconstruction operating costs capitalized pursuant to paragraph [980-340-25-1](#)) are included in or netted against the carrying amounts of plant, equipment, or inventory, those amounts shall be accounted for as this Subtopic prescribes for the effects of actions of a regulator.
- 980-20-40-4** Whether those assets have been impaired shall be judged in the same manner as for entities in general. The net effect of the adjustments required by this Subtopic shall be included in income of the period in which the discontinuation occurs and shall be classified separately in income from continuing operations as an unusual or infrequently occurring item.
- 980-20-40-5** Examples illustrating the discontinuation of regulatory operations guidance include the following:
- Example 1 (see paragraph [980-20-55-1](#)) illustrates assets recorded based solely on expected future revenue from the regulator.
  - Example 2 (see paragraph [980-20-55-6](#)) illustrates liabilities recorded based solely on actions of the regulator.
  - Example 3 (see paragraph [980-20-55-10](#)) illustrates assets recorded for deferred income taxes not previously recognized for rate-making purposes but expected to be in the future.

## > Deregulatory Legislation or Rate Order in a Separable Portion of the Entity

- 980-20-40-6** When deregulatory legislation is passed or when a rate order (whichever is necessary to effect change in the jurisdiction) that contains sufficient detail for the entity to reasonably determine how the transition plan will affect a separable portion of its business whose pricing is being deregulated is issued, the entity shall stop applying this Topic to that separable portion of its business. It has not been established whether an entity shall stop applying the accounting and reporting for regulatory operations as provided in the other Subtopics of this Topic to that separable portion of its business before the issuance of sufficiently detailed deregulatory legislation or a sufficiently detailed rate order.

## 45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

#### > Separable Portion Following Discontinuation of Regulatory Operations Guidance

- 980-20-45-1** Once the Regulated Operations Topic is no longer applied to a separable portion of an entity's business, the financial statements shall segregate, via financial statement display or note disclosure, the amounts contained in the financial statements that relate to that separable portion.

## 50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

- 980-20-50-1** For the period in which an entity reflects the discontinuation of application of the Regulated Operations Topic all or a separable portion of its operations, the entity shall disclose the reasons for the

discontinuation and identify the portion of its operations to which the application of this Topic is being discontinued.

- 980-20-50-2** The disclosure requirements of Subtopic [220-20](#) for unusual or infrequently occurring items apply to the net adjustment reported in the statement of operations as a result of applying this Subtopic.

## 55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

### General

#### > Illustrations

#### · > Example 1: Assets Recorded Based Solely on Expected Future Revenue from the Regulator

**980-20-55-1** This Example illustrates the guidance in paragraphs [980-20-40-1 through 40-4](#).

**980-20-55-2** Utility A operates solely in one regulatory jurisdiction. At December 31, 19X1, Utility A concludes, based on current market conditions, that it no longer meets the criteria of paragraph [980-10-15-2](#) for the application of the Regulated Operations Topic. Utility A's statement of financial position at December 31, 19X1, includes all of the following items:

- a. Deferred purchased power costs (costs of power used for operations in prior periods that were expected to be recovered from customers as a result of an automatic adjustment clause)
- b. Deferred costs of abandoned plant (costs for which recovery was being provided through rates)
- c. Deferred costs of repairing storm damage.

**980-20-55-3** Those items should be reported as follows as of December 31, 19X1.

**980-20-55-4** All of those items should be eliminated from the entity's statement of financial position when it ceases to apply this Topic. The resulting charge to income should be reported as an unusual or infrequently occurring item in the period that includes December 31, 19X1. The entity should no longer defer those costs and report them as assets because they could not be reported as assets by entities in general. Entities in general would report a receivable for those items only if a right to receive payment exists as a result of past events or transactions and regardless of future transactions (such as future sales).

**980-20-55-5** For example, a contract between a supplier and a customer for the sale of fuel oil may specify that next year's sales price will be adjusted based on the supplier's current-year cost of fuel oil. Even though it is probable that a future economic benefit (the ability to charge a higher price in the future) will result from the supplier's current-year cost of fuel oil, no asset exists at the end of the current year because the transactions (sales to the customer) that give the supplier control of the benefit are in the future. However, if the contract provides that the customer is obligated to pay additional amounts related to past purchases and regardless of future purchases, the supplier has an asset and it does not matter whether that payment is made in a single amount or when the customer will pay for next year's purchases.

· > **Example 2: Liabilities Recorded Based Solely on Actions of the Regulator**

**980-20-55-6** This Example illustrates the guidance in paragraphs [980-20-40-1](#) through [40-4](#).

**980-20-55-7** Utility B operates in two regulatory jurisdictions, State 1 and State 2; 40 percent of Utility B's operations are located in State 1 and 60 percent in State 2; system-wide assets, liabilities, and certain gains and losses are allocated 40 percent to State 1 and 60 percent to State 2. At December 31, 19X2, Utility B concludes, based on current and expected future market conditions in State 1, that it no longer meets the criteria of paragraph [980-10-15-2](#) for application of this Topic to its operations in State 1. No similar conditions exist in State 2, and actions of State 1's regulators are not expected to influence the decisions of regulators in State 2. Utility B's statement of financial position at December 31, 19X2, includes the following items.

|                                                                                                                    |           |
|--------------------------------------------------------------------------------------------------------------------|-----------|
| Deferred gain on restructuring debt, being amortized for rate-making purposes on an allocated basis by both states | \$ 50,000 |
| Revenues collected subject to refund in prior years in State 1, expected to be refunded through future rates       | \$ 75,000 |

**980-20-55-8** Those items should be reported as follows as of December 31, 19X2.

**980-20-55-9** The portion of the deferred gain allocable to State 1 (determined in this Example to be 40 percent of \$50,000, or \$20,000) should be eliminated from the entity's statement of financial position when it ceases to apply this Topic to its operations in State 1. No adjustment should be made for the deferred gain applicable to State 2. The regulatory-created accrual for revenues subject to refund in State 1 should be eliminated. Whether any liability related thereto exists should be determined under generally accepted accounting principles (GAAP) for entities in general. For example, amounts that were collected in the current or prior periods for which refunds will be made regardless of future sales should continue to be reported as liabilities after application of this Topic is discontinued. The credit to income resulting from the above adjustments should be reported as an unusual or infrequently occurring item in the period that includes December 31, 19X2.

· > **Example 3: Regulatory-Created Assets Resulting from the Recording of Deferred Income Taxes Not Recognized for Rate-Making**

**980-20-55-10** This Example illustrates the guidance in paragraphs [980-20-40-1](#) through [40-4](#).

**980-20-55-11** Utility C operates solely in one regulatory jurisdiction. At June 30, 19X3, Utility C concludes, based on new legislation, that it no longer meets the criteria of paragraph [980-10-15-2](#) for application of this Topic. Utility C had adopted Subtopic [740-10](#) in 19X2 and because of applying this Topic had recorded a regulatory-created asset of \$650,000 for deferred taxes resulting from temporary differences that had not been recognized in the rate-making process but that were expected to be recovered in the future.

**980-20-55-12** The following reporting is required for that regulatory-created asset.

**980-20-55-13**      Utility C should eliminate that regulatory-created asset from its statement of financial position when the entity ceases to apply this Topic. The charge to income should be reported as an unusual or infrequently occurring item in the period that includes June 30, 19X3.

# 980 Regulated Operations

## 250 Accounting Changes and Error Corrections

### 00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

#### General

|                     |                                                                   |         |                                                         |            |
|---------------------|-------------------------------------------------------------------|---------|---------------------------------------------------------|------------|
| <b>980-250-00-1</b> | The following table identifies the changes made to this Subtopic. |         |                                                         |            |
|                     | Paragraph                                                         | Action  | Accounting Standards Update                             | Date       |
|                     | 980-250-55-3                                                      | Amended | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |

## 05 Overview and Background

**i General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

#### General

**980-250-05-1**      This Subtopic provides guidance for accounting changes and error corrections for entities with regulated operations.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-250-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### [Allowable Costs](#)

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

# 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

### > Implementation Guidance

**980-250-55-1** All of the following guidance assumes that the entity meets the criteria in paragraph [980-10-15-2](#); thus, recovery of any cost is probable if that cost is designated for future recovery by the regulator.

#### · > Accounting Changes

**980-250-55-2** Topic [250](#) defines various types of accounting changes and establishes guidelines for reporting each type.

**980-250-55-3** If a regulated entity changes accounting methods and the change does not affect costs that are allowable for rate-making purposes, the regulated entity would apply the change in the same manner as would an unregulated entity. If a regulated entity changes accounting methods and the change affects [allowable costs](#) for rate-making purposes, the change generally would be implemented in the way that it is implemented for regulatory purposes. A change in the method of accounting for research and development costs, either from a policy of capitalization and amortization to one of charging those costs to expense as incurred or vice versa, is an example of that type of change.

#### · > Refunds to Customers

**980-250-55-4** Paragraphs [250-10-45-25 through 45-26](#) limit prior period adjustments (other than those that result from reporting accounting changes) to corrections of errors and adjustments related to prior interim periods of the current fiscal year.

**980-250-55-5** In accordance with Section [250-10-45](#), estimated refunds that were not previously accrued would be charged to income in the first period in which they meet the criteria for accrual (see paragraph [450-20-25-2](#)). If the amounts are material, the disclosures specified in paragraph [980-605-50-1](#) should be furnished.

## 980 Regulated Operations

### 340 Other Assets and Deferred Costs

## 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

|              |                                                                   |         |                                                         |            |
|--------------|-------------------------------------------------------------------|---------|---------------------------------------------------------|------------|
| 980-340-00-1 | The following table identifies the changes made to this Subtopic. |         |                                                         |            |
|              | Paragraph                                                         | Action  | Accounting Standards Update                             | Date       |
|              | 980-340-25-4                                                      | Amended | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-340-55-9 through 55-11                                        | Amended | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-340-55-13 through 55-17                                       | Amended | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |

05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

**980-340-05-1** This Subtopic provides guidance for deferred costs for entities with regulated operations, including [phase-in plans](#).

> Phase-In Plans

**980-340-05-2** When a utility places a newly completed plant in service, traditional rate-making procedures establish rates to recover the [allowable costs](#) of that plant. A combination of circumstances can cause traditional rate-making procedures to result in a phenomenon called rate spike, which is a major, one-time increase in rates that can result from the inclusion of the cost of new plants in rates under traditional rate-making procedures.

- 980-340-05-3** Phase-in plans were developed to alleviate the problem of rate spike. Those plans are intended to moderate the initial increase in rates that would otherwise result from placing newly completed plants in service by deferring some of that rate increase to future years and providing the utility with return on investment for those deferred amounts. Instead of the traditional pattern of an increase in allowable costs followed by decreasing allowable costs for utility plants after the plants are placed in service, phase-in plans create a pattern of gradually increasing allowable costs for the initial years of the plant's service life.

## 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

- 980-340-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

## 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

#### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

#### Allowance for Funds Used during Construction

The cost of financing construction as financed partially by borrowings and partially by equity, capitalized as part of the cost of plant and equipment pursuant to requirements of the regulator.

### Capitalize

Capitalize is used to indicate that the cost would be recorded as the cost of an asset. That procedure is often referred to as deferring a cost, and the resulting asset is sometimes described as a deferred cost.

### Incurred Cost

A cost arising from cash paid out or obligation to pay for an acquired asset or service, a loss from any cause that has been sustained and has been or must be paid for.

### Phase-In Plan

Any method of recognition of allowable costs in rates that meets all of the following criteria:

- a. The method was adopted by the regulator in connection with a major, newly completed plant of the regulated entity or of one of its suppliers or a major plant scheduled for completion in the near future.
- b. The method defers the rates intended to recover allowable costs beyond the period in which those allowable costs would be charged to expense under generally accepted accounting principles (GAAP) applicable to entities in general.
- c. The method defers the rates intended to recover allowable costs beyond the period in which those rates would have been ordered under the rate-making methods routinely used prior to 1982 by that regulator for similar allowable costs of that regulated entity.

## 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Effects of Regulation

#### · > Recognition of Regulatory Assets

**980-340-25-1** Rate actions of a regulator can provide reasonable assurance of the existence of an asset. An entity shall [capitalize](#) all or part of an [incurred cost](#) that would otherwise be charged to expense if both of the following criteria are met:

- a. It is probable (as defined in Topic 450) that future revenue in an amount at least equal to the capitalized cost will result from inclusion of that cost in [allowable costs](#) for rate-making purposes.
- b. Based on available evidence, the future revenue will be provided to permit recovery of the previously incurred cost rather than to provide for expected levels of similar future costs. If the revenue will be provided through an automatic rate-adjustment clause, this criterion requires that the regulator's intent clearly be to permit recovery of the previously incurred cost.

A cost that does not meet these asset recognition criteria at the date the cost is incurred shall be recognized as a regulatory asset when it does meet those criteria at a later date.

## · > Phase-In Plans

**980-340-25-2** If a [phase-in plan](#) is ordered by a regulator in connection with a plant on which no substantial physical construction had been performed before January 1, 1988, none of the allowable costs that are deferred for future recovery by the regulator under the plan for rate-making purposes shall be capitalized for general-purpose financial reporting purposes (hereinafter referred to as financial reporting). Allowable costs that are deferred for future recovery by the regulator under the plan consist of all allowable costs deferred for rate-making purposes under the plan beyond the period in which those allowable costs would be charged to expense under generally accepted accounting principles (GAAP) applicable to entities in general.

**980-340-25-3** If a phase-in plan is ordered by a regulator in connection with a plant completed before January 1, 1988, or a plant on which substantial physical construction had been performed before January 1, 1988, the following criteria shall be applied to that plan. If the phase-in plan meets all of those criteria, all allowable costs that are deferred for future recovery by the regulator under the plan shall be capitalized for financial reporting as a separate asset (a deferred charge). If any one of those criteria is not met, none of the allowable costs that are deferred for future recovery by the regulator under the plan shall be capitalized for financial reporting. The criteria to determine whether capitalization is appropriate are:

- a. The allowable costs in question are deferred pursuant to a formal plan that has been agreed to by the regulator.
- b. The plan specifies the timing of recovery of all allowable costs that will be deferred under the plan.
- c. All allowable costs deferred under the plan are scheduled for recovery within 10 years of the date when deferrals begin.
- d. The percentage increase in rates scheduled under the plan for each future year is no greater than the percentage increase in rates scheduled under the plan for each immediately preceding year. That is, the scheduled percentage increase in Year 2 is no greater than the percentage increase granted in Year 1, the scheduled percentage increase in Year 3 is no greater than the scheduled percentage increase in Year 2, and so forth.

**980-340-25-4** The following Examples illustrate various circumstances that may or may not constitute phase-in plans:

- a. Example 1 (see paragraph [980-340-55-9](#)) illustrates a sale with leaseback as a finance lease.
- b. Example 2 (see paragraph [980-340-55-12](#)) illustrates a sale with leaseback as an operating lease.
- c. Example 3 (see paragraph [980-340-55-15](#)) illustrates a sale with leaseback with profit recognition accelerated.
- d. Example 4 (see paragraph [980-340-55-18](#)) illustrates the modified depreciation method.
- e. Example 5 (see paragraph [980-340-55-21](#)) illustrates deferred costs before a rate order is issued.
- f. Example 7 (see paragraph [980-340-55-39](#)) illustrates a phase-in plan for two plants completed at different times that share common facilities.

## · > Allowance for Earnings on Shareholder Investments Capitalized for Rate-Making Purposes

- 980-340-25-5** If specified criteria are met, paragraph [980-340-25-1](#) requires capitalization of an incurred cost that would otherwise be charged to expense. An allowance for earnings on shareholders' investment is not an incurred cost that would otherwise be charged to expense. Accordingly, such an allowance shall not be capitalized pursuant to that paragraph. The phrase *an allowance for earnings on shareholders' investment*, as used in this Subtopic, is intended to have the same meaning as the phrase *a designated cost of equity funds*, used in paragraph [980-835-30-1](#), which, in specified circumstances, requires capitalization of an allowance for earnings on shareholders' investment (a designated cost of equity funds) during construction.
- 980-340-25-6** Paragraphs [980-340-25-2 through 25-3](#) require capitalization of an allowance for earnings on shareholders' investment for qualifying phase-in plans. If an allowance for earnings on shareholders' investment is capitalized for rate-making purposes other than during construction or as part of a phase-in plan, the amount capitalized for rate-making purposes shall not be capitalized for financial reporting. For the requirement to accrue a carrying charge related to the expected recovery of the investment in abandoned assets, see paragraph [980-360-35-7](#).

# 35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

### > Effect of Rate Action on Asset Value

- 980-340-35-1** Rate actions of a regulator can reduce or eliminate the value of an asset. If a regulator excludes all or part of a cost from [allowable costs](#), the carrying amount of any asset recognized pursuant to paragraph [980-340-25-1](#) shall be reduced to the extent of the excluded cost. Whether other assets have been impaired shall be judged the same as for entities in general and the Impairment or Disposal of Long-Lived Assets Subsections of Subtopic [360-10](#) shall apply.
- 980-340-35-2** If a regulator allows recovery through rates of costs previously excluded from allowable costs, that action shall result in recognition of a new asset. The classification of that asset shall be consistent with the classification that would have resulted had those costs been initially included in allowable costs.

### > Phase-In Plans

## · > Modifications of and Supplements to Phase-In Plans

**980-340-35-3** When an existing [phase-in plan](#) is modified or a new plan is ordered to replace or supplement an existing plan, the criteria in paragraph [980-340-25-3](#) shall be applied to the combination of the original plan and the new plan. The date when deferrals begin, used in applying the criterion in paragraph [980-340-25-3\(c\)](#), would be the date of the earliest deferral under either the new or the old plan, and the final recovery date would be the date of the last recovery of all amounts deferred under the plans.

## · > Relationship of Phase-In Plans and Disallowances

**980-340-35-4** A phase-in plan is a method of rate-making intended to moderate a sudden increase in rates while providing the regulated entity with recovery of its investment and a return on that investment during the recovery period. A disallowance is a rate-making action that prevents the regulated entity from recovering either some amount of its investment or some amount of return on its investment. Section [980-360-35](#) specifies the accounting for disallowances of plant costs. If a method of rate-making that meets the criteria of this Subtopic for a phase-in plan includes an indirect disallowance of plant costs, that disallowance shall be accounted for in accordance with that Section. Example 6 (see paragraph [980-340-55-33](#)) illustrates a phase-in plan with an indirect disallowance.

# 40 Derecognition

**i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

## General

**980-340-40-1** If at any time an entity's [incurred cost](#) no longer meets the criteria for the capitalization of an incurred cost (see paragraph [980-340-25-1](#)), that cost shall be charged to earnings.

# 45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains

Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

### > Phase-In Plans

**980-340-45-1** Cumulative amounts capitalized under phase-in plans shall be reported as a separate asset in the balance sheet. The net amount capitalized in each period or the net amount of previously capitalized [allowable costs](#) recovered during each period shall be reported as a separate item of other income or expense in the income statement. Allowable costs capitalized shall not be reported as reductions of other expenses.

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

### > Recovery of Cost Without Return on Investment

**980-340-50-1** In some cases, a regulator may permit an entity to include a cost that would be charged to expense by an unregulated entity as an allowable cost over a period of time by amortizing that cost for rate-making purposes, but the regulator does not include the unrecovered amount in the rate base. That procedure does not provide a return on investment during the recovery period. If recovery of such major costs is provided without a return on investment during the recovery period, the entity shall disclose the remaining amounts of such assets and the remaining recovery period applicable to them.

### > Phase-In Plans

**980-340-50-2** The terms of any phase-in plans in effect during the year or ordered for future years shall be disclosed. This Subtopic does not permit capitalization for financial reporting of [allowable costs](#) deferred for future recovery by the regulator pursuant to a [phase-in plan](#) that does not meet the criteria of paragraph [980-340-25-3](#) or a phase-in plan related to a plant on which substantial physical construction was not completed before January 1, 1988. Nevertheless, the financial statements shall include disclosure of the net amount deferred at the balance sheet date for rate-making purposes and the net change in deferrals for rate-making purposes during the year for those plans.

## > Allowance for Earnings on Shareholders' Investment Capitalized for Rate-Making Purposes

**980-340-50-3** The nature and amounts of any allowance for earnings on shareholders' investment capitalized for rate-making purposes but not capitalized for financial reporting shall be disclosed.

# 55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

**980-340-55-1** This Section provides guidance for application of this Subtopic to some specific situations, but does not address all possible applications of this Subtopic. All of the implementation guidance and illustrations assume that the entity meets the criteria in paragraph [980-10-15-2](#); thus, recovery of any cost is probable if that cost is designated for future recovery by the regulator.

## > Implementation Guidance

### · > Recovery of Cost Without Return on Investment

**980-340-55-2** In some cases, a regulator may approve rates that are intended to recover an [incurred cost](#) over an extended period without a return on the unrecovered cost during the recovery period.

**980-340-55-3** The regulator's action provides reasonable assurance of the existence of an asset (see paragraph [980-340-25-1](#)). Accordingly, the regulated entity would [capitalize](#) the cost and amortize it over the period during which it will be allowed for rate-making purposes. That cost would not be recorded at discounted present value. An exception to this general rule is provided for costs of abandoned plants. See Example 1 (paragraph [980-360-55-2](#)) for an illustration of accounting for future revenues expected to result from the cost of an abandoned plant. If the amounts are material, the disclosures specified in paragraph [980-340-50-1](#) would be furnished.

### · > Applying the Definition of *Phase-in Plan*

### · · > Inclusion of Construction Work in Progress in Rate Base

- 980-340-55-4** Mirror construction work in progress is one means of moderating the sudden, one-time increase in rates that would otherwise result from placing a newly completed utility plant in service. Under mirror construction work in progress, increasing amounts of construction work in progress are included in the current rate base in the periods before the plant goes into service, providing the utility with a current return on a portion of its investment in construction while the construction proceeds. After the plant is placed in service, a decreasing amount of plant-in-service is excluded from the rate base each year, mirroring the pattern in which the construction was included in the rate base. The result of this procedure is to increase rates while the plant is under construction and to reduce the increase in rates in the initial years of the plant's service life.
- 980-340-55-5** For rate-making purposes, no [allowance for funds used during construction](#) is recognized on the portion of the construction that is included in the rate base while the asset is under construction, and an allowance for funds used during construction is recognized on the portion of the plant-in-service that is subsequently excluded from the rate base after the plant is placed in service. The same total amount is capitalized as if no construction had been included in the current rate base.
- 980-340-55-6** The mirror construction work in progress arrangement described is not a [phase-in plan](#) under the definition used in this Subtopic because it does not defer recovery of costs that would not have been deferred under the methods of rate making used prior to 1982. Rather, it effectively provides a temporary loan from customers to the utility during construction and requires repayment of that loan after the plant is placed in service.
- 980-340-55-7** If the arrangement is known to be a mirror construction work in progress arrangement at the time of the construction (for example, if that arrangement is required by law or has been specifically ordered by the regulator), an allowance for funds used during construction should be accrued on the total cumulative construction cost in each period for financial reporting. The revenue collected as a result of inclusion of construction in the current rate base should be recorded as a liability to customers, with disclosure of the approximate timing of the repayment that will be required under the mirror construction work in progress arrangement.
- 980-340-55-8** If the arrangement is not known to be a mirror construction work in progress arrangement when the construction is included in the rate base but the regulator later orders a mirror construction work in progress arrangement, the accounting described in the preceding paragraph should be implemented as soon as the nature of the arrangement becomes known. That will require an adjustment for the cumulative effect of the arrangement to date. An amount should be capitalized, with a corresponding accrual of an allowance for funds used during construction, when the mirror construction work in progress arrangement becomes known. Current revenues should be reduced by an equal amount, and a corresponding liability to customers should be recognized. That amount should be the amount that would have been capitalized if the arrangement had been known to be a mirror construction work in progress arrangement when the revenue was collected during construction. That capitalized amount should be reported in the year in which the mirror construction work in progress arrangement becomes known in the same manner as if it had been capitalized during construction.

## > Illustrations

### · > Example 1: Sale with Leaseback—Capital Lease

- 980-340-55-9** This Example illustrates the guidance in paragraphs [980-340-25-2 through 25-3](#).
- 980-340-55-10** Utility B sells its interest in a newly completed electric generating plant for an amount equal to its cost and leases that interest back under a lease that requires equal annual payments. The arrangement would not qualify for sale and leaseback accounting in accordance with Subtopic [842-40](#) because the leaseback would be classified as a finance lease. However, the arrangement previously qualified as a sale and a capital leaseback in accordance with Subtopic [840-40](#) before the effective date of Topic

[842](#). Therefore, Utility B continues to account for the arrangement as a sale and a leaseback. Utility B's regulator includes the lease rentals in allowable cost as they accrue. In the past, Utility B's regulator has treated other leases entered into by Utility B in the same manner, but those leases were for much less significant items of equipment—not for an interest in an electric generating plant.

**980-340-55-11** The rate-making method described is a phase-in plan under the definition in this Subtopic. Generally accepted accounting principles (GAAP) applicable to entities in general require a finance lease to be accounted for much like a purchase of the underlying asset. The resulting expense related to the lease consists of interest on the remaining lease obligation and depreciation based on the method used for similar owned assets. In the early years of a lease, the lease rentals included in allowable cost as they accrue are significantly less than the sum of interest on the lease obligation and depreciation on the leased asset. Thus, significant deferrals will result. The method also defers recognition of expenses compared with the methods of expense recognition used by Utility B's regulator for similar assets of Utility B prior to 1982 because Utility B's interests in electric generating plants were included in [allowable costs](#) in the past based on current provisions for depreciation and for the cost of capital invested in the plants. The use of this rate-making method in the past for leases of equipment does not change this conclusion. The definition is based on the method of rate-making used prior to 1982 for similar allowable costs. Similar allowable costs would be those resulting from electric generating plants.

#### · > Example 2: Sale with Leaseback—Operating Lease

**980-340-55-12** This Example illustrates the guidance in paragraphs [980-340-25-2 through 25-3](#).

**980-340-55-13** Utility C sells its interest in a newly completed electric generating plant for an amount equal to its cost and leases that interest back under a lease that requires equal annual payments. The arrangement qualifies as a sale and a leaseback in accordance with Subtopic [842-20](#). The leaseback is classified as an operating lease. Utility C's regulator includes the lease payments in allowable cost as they accrue. In the past, Utility C's regulator has treated other leases entered into by Utility C in the same manner, but those leases were not for an interest in an electric generating plant.

**980-340-55-14** The rate-making method applied to Utility C is not a phase-in plan under the definition in this Subtopic because it recognizes lease expense for rate-making purposes in the same way as that expense would be recognized for entities in general for this type of lease.

#### · > Example 3: Sale with Leaseback—Profit Recognition Accelerated—Finance Lease

**980-340-55-15** This Example illustrates the guidance in paragraphs [980-340-25-2 through 25-3](#).

**980-340-55-16** Utility D sells its interest in a 5-year-old electric generating plant for an amount that exceeds its undepreciated cost by \$500,000 and leases that interest back. The leaseback term is 20 years, and there are no renewal options. The arrangement would not qualify for sale and leaseback accounting in accordance with Subtopic [842-40](#) because the leaseback would be classified as a finance lease. However, the arrangement previously qualified as a sale and a capital leaseback in accordance with Subtopic [840-40](#) before the effective date of Topic [842](#). Therefore, Utility D continues to account for the arrangement as a sale and a leaseback. Utility D's regulator includes the lease payments in allowable cost as they accrue and orders Utility D to amortize the profit, for rate-making purposes, over 10 years. The sale occurred at a time when Utility D was about to place a newly completed plant in service. Utility D has not had any similar transactions in the past.

**980-340-55-17** The rate-making method described is a phase-in plan under the definition in this Subtopic. GAAP applicable to entities in general at the time of entering into this arrangement required a profit on a sale and leaseback transaction to be amortized over the term of the leaseback. Amortization of that profit, for rate-making purposes, over 10 years when GAAP applicable to entities in general at that time required amortization over the 20-year leaseback term is equivalent to a deferral of allowable costs. In

view of the timing of the rate order on the sale and leaseback transaction, the presumption is that the order was issued in connection with the newly completed plant. The method cannot be compared with methods in use prior to 1982 because Utility D has had no previous transactions of this type.

#### · > Example 4: Modified Depreciation Method

**980-340-55-18** This Example illustrates the guidance in paragraphs [980-340-25-2 through 25-3](#).

**980-340-55-19** Utility E's regulator orders it to depreciate its new electric generating plant, for rate-making purposes, by using an annuity method. Under the method ordered, depreciation increases each year so that the total of depreciation and return on investment stays approximately level over the life of the plant. In the past, Utility E's regulator required the use of straight-line depreciation for electric generating plants.

**980-340-55-20** The rate-making method applied to Utility E is a phase-in plan under the definition in this Subtopic because it meets both of the following conditions:

- a. It defers depreciation expense compared with the depreciation methods that are acceptable under GAAP applicable to entities in general (as indicated in paragraph [360-10-35-10](#), annuity methods of depreciation are not acceptable under GAAP applicable to entities in general).
- b. It defers depreciation expense compared with the method of depreciation used by Utility E's regulator for Utility E's electric generating plants prior to 1982.

#### · > Example 5: Deferred Costs Before Rate Order Is Issued

**980-340-55-21** This Example illustrates the guidance in paragraphs [980-340-25-2 through 25-3](#) and [980-340-35-3 through 35-4](#) related to the deferral of costs before a rate order is issued when:

- a. Utility F has deferred costs before a rate order is issued (Case A).
- b. Utility F has deferred costs before a rate order is issued and has subsequent interaction with a disallowance (Case B).
- c. Utility G has deferred costs before a rate order is issued and has interaction with a subsequent phase-in plan (Case C).

**980-340-55-22** Cases A, B, and C share all of the assumptions described in the following paragraph.

**980-340-55-23** Utility F completes construction of a nuclear generating plant and places that plant in service. Utility F's regulator decides that it will complete its examination of the prudence of Utility F's construction cost before rates are adjusted to reflect the cost of operating the plant. During the examination and until rates are adjusted, the regulator orders Utility F to capitalize its net cost of operating the plant (operating costs, depreciation, allocable interest cost, and an allowance for earnings on shareholders' investment, all net of savings that result from operation of the new plant).

#### · · > Case A: Deferral of Costs Before a Rate Order Is Issued

**980-340-55-24** The resulting deferral is not a phase-in plan under the definition in this Subtopic. The regulator's order to capitalize an amount pending completion of a rate hearing is designed to protect the utility from the effects of regulatory lag in the absence of a rate order—a routine procedure on the part of regulators. Regulatory lag is the delay between a change in a regulated entity's costs and a change in rates ordered by a regulator as a result of that change in costs. A shortfall in a utility's net income can occur when regulators set rates prospectively and the estimated or test-period costs on which those rates were based are less than the actual costs that are incurred during the period covered by those rates. Regulators' actions that are designed to protect a utility from the effects of regulatory lag can occur during a rate case but before a rate order is issued, as in this Case, and when no rate case is under active consideration. An accounting order to a utility to capitalize the cost of repairing storm

damage would be an example of the latter situation. Those actions can also be a part of a rate order. An example of that type of action would be a fuel adjustment clause that is intended to protect the utility from the effects of unanticipated changes in fuel costs.

- 980-340-55-25
- The definition of a phase-in plan in this Subtopic is not intended to encompass actions of a regulator that are designed to protect a utility from the effects of regulatory lag in the absence of a rate order, nor is it intended to encompass the regulator's subsequent treatment of any allowable costs that result from those actions.
- 980-340-55-26
- Under paragraph 980-340-25-1, Utility F should capitalize that portion of the amount capitalized for rate-making purposes that represents incurred costs that would otherwise be charged to expense, provided that it is probable that future revenue in an amount at least equal to the capitalized cost will result from inclusion of those costs in allowable costs for rate-making purposes. Otherwise, Utility F should not capitalize those costs.
- 980-340-55-27
- Since the situation in this Case is neither during construction nor a phase-in plan, this Topic does not permit capitalization of an allowance for earnings on shareholders' investment. Accordingly, Utility F should not capitalize, for financial reporting, the portion of the amount capitalized for rate-making purposes that represents an allowance for earnings on shareholders' investment. If recovery of that allowance subsequently occurs, increased earnings during the recovery period will result.

• • > Case B: Interaction with Disallowance

- 980-340-55-28
- Six months after the accounting order referred to in Case A, Utility F's regulator approves part of the cost of the new plant but disallows \$600,000,000—consisting of construction expenditures of \$570,000,000 and amounts capitalized for rate-making purposes during this 6-month operating period prior to the rate order of \$30,000,000. The recorded cost of the plant before consideration of the disallowance is \$4,500,000,000. During this 6-month period, Utility F has capitalized \$500,000,000 of net cost for rate-making purposes. This \$500,000,000 consists of an allowance for earnings on shareholders' investment of \$200,000,000 and incurred costs that would otherwise be charged to expense of \$300,000,000. For rate-making purposes, the balance sheet accounts, before and after the disallowance, are as follows.

|                                        | Balance before<br>Disallowance | Disallowance<br>(in thousands) | Balance after<br>Disallowance |
|----------------------------------------|--------------------------------|--------------------------------|-------------------------------|
| Plant in service                       | \$ 4,500,000                   | \$ (570,000)                   | \$ 3,930,000                  |
| Amounts capitalized pending rate order | 500,000                        | (30,000)                       | 470,000                       |
| Combined totals                        | \$ 5,000,000                   | \$ (600,000)                   | \$ 4,400,000                  |

- 980-340-55-29
- Section 980-360-35 requires a disallowance of plant costs to be recognized as a loss. Utility F should perform the following analysis to determine the loss that should be recognized and how it will be allocated:
- a.

Assuming that \$300,000,000 of the \$500,000,000 capitalized for rate-making purposes during the 6-month period was also capitalized for financial reporting (the \$200,000,000 allowance for earnings on shareholders' investment would not be capitalized), the total loss recognized by Utility F for financial reporting should be the amount that reduces the combined total of plant in service and amounts capitalized pending rate order (\$4,800,000,000) to the combined total that will be honored for rate-making purposes (\$4,400,000,000). The recognizable loss is \$400,000,000.
- b.

Utility F should allocate to plant in service the lesser of the amount of the disallowance that was allocated to plant in service by the regulator (\$570,000,000) or the total disallowance recognized for financial reporting (\$400,000,000), or \$400,000,000.
- c.

Utility F should allocate the rest of the disallowance recognized for financial reporting, if any, to amounts capitalized pending rate order. In this case, no amount is allocated to that asset.

**980-340-55-30** The recognition of the disallowance and the effect of that recognition on the financial reporting balance sheet accounts are as follows.

|                                        | Balance before<br>Disallowance | Recognition of<br>Disallowance<br>(in thousands) | Balance after<br>Disallowance |
|----------------------------------------|--------------------------------|--------------------------------------------------|-------------------------------|
| Plant in service                       | \$ 4,500,000                   | \$ (400,000)                                     | \$ 4,100,000                  |
| Amounts capitalized pending rate order | 300,000                        |                                                  | 300,000                       |
| Combined totals                        | <u>\$ 5,000,000</u>            | <u>\$ (400,000)</u>                              | <u>\$ 4,400,000</u>           |

· · > Case C: Interaction with Subsequent Phase-In Plan

**980-340-55-31** Utility G's fact situation is identical to that of Utility F, described in Cases A and B, except that Utility G's regulator approves all of the costs related to the newly completed plant. Utility G's regulator adopts a formal phase-in plan intended to provide recovery of amounts deferred under the plan and amounts capitalized, for rate-making purposes, during the six-month period from the plant's in-service date to the date of the rate order.

**980-340-55-32** The phase-in plan does not affect the financial reporting of those previously deferred costs described in paragraphs [980-340-55-26 through 55-27](#), nor does the existence of those previously deferred costs affect the financial reporting of the phase-in plan. Accordingly, the allowance for earnings on shareholders' investment that was not capitalized previously during the period preceding issuance of the rate order may not be capitalized upon adoption of the phase-in plan.

· > Example 6: Phase-In Plan with an Indirect Disallowance

**980-340-55-33** This Example illustrates the guidance in paragraph [980-340-35-4](#).

**980-340-55-34** Utility A is an electric utility that operates solely in a single-state jurisdiction. On January 1, 19X1, Utility A's new electric generating plant becomes operational. The cost of that plant is \$1 billion.

**980-340-55-35** Utility A's regulator orders that the costs of the newly completed plant be phased in over a three-year period, as follows:

- a. 19X1—A portion of the return (interest and an allowance for earnings on shareholders' investment) on unrecovered investment is deferred by excluding 25 percent of the cost of the plant from the rate base.
- b. 19X2—All of the remaining cost of the plant is to be included in the rate base with no recovery of previously deferred amounts.
- c. 19X3—All of the remaining cost of the plant is to be included in the rate base. Also, additional revenue is to be provided equal to the return on unrecovered investment excluded from rates in Year 1.

The order does not provide for recovery in any year of a return on Utility A's investment in the deferred amounts. Utility A's weighted-average cost of capital in its latest rate case was 11 percent.

**980-340-55-36** The phase-in plan is partially a disallowance of plant costs because no return on investment is provided for the deferred amounts. That disallowance should be recognized in accordance with Section [980-360-35](#) when it became probable. The amount of equivalent cost disallowed should be determined as shown in Schedule 1. The recorded cost of the plant should be reduced by that amount, and a corresponding loss should be reported in 19X1.

**980-340-55-37** The disallowance will reduce revenues only in Years 1 through 3, so the depreciation charge that would otherwise be recognized for that plant in Years 1 through 3 should be reduced by the amount of the effective disallowance attributable to those years (the amount in column 4 of Schedule 1). Amounts deferred under the plan (the amount for months 1-12 in column 1 of Schedule 1) should be capitalized as a separate asset, and that asset should be amortized as recovery occurs (in months 25-36), using the amounts in column 1 of Schedule 1.

**980-340-55-38** The following table illustrates the determination of effective disallowance.

Schedule 1

Utility A

Determination of Effective Disallowance Return on Investment  
Disallowed for Amounts Deferred under Phase-in Plan  
(in thousands)

|                                     | (1)                            | (2)                              | (3)                                                     | (4)                       |
|-------------------------------------|--------------------------------|----------------------------------|---------------------------------------------------------|---------------------------|
|                                     | Cost<br>Deferral<br>(Recovery) | Cumulative<br>Amount<br>Deferred | Return on<br>Investment<br>on<br>Cumulative<br>Deferral | Effective<br>Disallowance |
| Month                               |                                |                                  |                                                         |                           |
| 1                                   | \$ 2,292                       | \$ 2,292                         | \$ 21                                                   | \$ -                      |
| 2                                   | 2,291                          | 4,583                            | 42                                                      | 21                        |
| 3                                   | 2,292                          | 6,875                            | 63                                                      | 41                        |
| 4                                   | 2,292                          | 9,167                            | 84                                                      | 61                        |
| 5                                   | 2,291                          | 11,458                           | 105                                                     | 80                        |
| 6                                   | 2,292                          | 13,750                           | 126                                                     | 99                        |
| 7                                   | 2,292                          | 16,042                           | 147                                                     | 118                       |
| 8                                   | 2,291                          | 18,333                           | 168                                                     | 137                       |
| 9                                   | 2,292                          | 20,625                           | 189                                                     | 155                       |
| 10                                  | 2,292                          | 22,917                           | 210                                                     | 173                       |
| 11                                  | 2,291                          | 25,208                           | 231                                                     | 190                       |
| 12                                  | 2,292                          | 27,500                           | 252                                                     | 207                       |
| 13                                  | -                              | 27,500                           | 252                                                     | 224                       |
| 14                                  | -                              | 27,500                           | 252                                                     | 222                       |
| 15                                  | -                              | 27,500                           | 252                                                     | 220                       |
| 16                                  | -                              | 27,500                           | 252                                                     | 218                       |
| 17                                  | -                              | 27,500                           | 252                                                     | 216                       |
| 18                                  | -                              | 27,500                           | 252                                                     | 214                       |
| 19                                  | -                              | 27,500                           | 252                                                     | 212                       |
| 20                                  | -                              | 27,500                           | 252                                                     | 210                       |
| 21                                  | -                              | 27,500                           | 252                                                     | 208                       |
| 22                                  | -                              | 27,500                           | 252                                                     | 206                       |
| 23                                  | -                              | 27,500                           | 252                                                     | 204                       |
| 24                                  | -                              | 27,500                           | 252                                                     | 202                       |
| 25                                  | (2,292)                        | 25,208                           | 231                                                     | 201                       |
| 26                                  | (2,291)                        | 22,917                           | 210                                                     | 182                       |
| 27                                  | (2,292)                        | 20,625                           | 189                                                     | 164                       |
| 28                                  | (2,292)                        | 18,333                           | 168                                                     | 146                       |
| 29                                  | (2,291)                        | 16,042                           | 147                                                     | 129                       |
| 30                                  | (2,292)                        | 13,750                           | 126                                                     | 112                       |
| 31                                  | (2,292)                        | 11,458                           | 105                                                     | 95                        |
| 32                                  | (2,291)                        | 9,167                            | 84                                                      | 78                        |
| 33                                  | (2,292)                        | 6,875                            | 63                                                      | 62                        |
| 34                                  | (2,292)                        | 4,583                            | 42                                                      | 46                        |
| 35                                  | (2,291)                        | 2,292                            | 21                                                      | 31                        |
| 36                                  | (2,292)                        | -                                | -                                                       | 15                        |
| Total loss to be recognized in 19X1 |                                |                                  |                                                         | <u>\$ 5,099</u>           |

Computations:  
Column (1)—Cost of plant (\$1 billion)  $\times .25 \times 11\% \div 12$   
Column (2)—Column (2) for prior month + Column (1) for current month  
Column (3)—Column (2)  $\times 11\% \div 12$   
Column (4)—Present value (at beginning of month 1) at 11% (.9167 per month) of amount in Column (3) for prior month

· · > Example 7: Phase-in Plan for Two Plants, Completed at Different Times, That Share Common Facilities

**980-340-55-39** This Example illustrates the guidance in paragraph 980-340-25-2 and the application of the definition of a [phase-in plan](#).

**980-340-55-40** A utility that meets the criteria of paragraph 980-10-15-2 for application of this Topic constructs two generating plants on a common site and those plants share certain facilities (primarily coal handling equipment, transmission facilities, and an administrative building). One plant (Unit 1) is completed January 31, 19X1, and the other plant (Unit 2) is completed December 31, 19X1. The coal handling equipment, transmission facilities, and administrative building are completed by January 31, 19X1, and are used by Unit 1 during 19X1.

**980-340-55-41** New rates are placed in effect on February 1, 19X1, that include the effect on revenue requirements of Unit 1 and one-half of the coal handling equipment, transmission facilities, and administrative building. New rates are again placed in effect on January 1, 19X2, to include the effect on revenue requirements of Unit 2 and the other half of the coal handling equipment, transmission facilities, and administrative building.

- 980-340-55-42** Consistent with the above rate treatment, the utility capitalizes interest on and does not depreciate one-half of the coal handling equipment, transmission facilities, and administrative building from January 31 to December 31, 19X1. The question is whether deferral of depreciation and continued capitalization of interest on one-half of the coal handling equipment, transmission facilities, and administrative building is a phase-in plan under Subtopic [980-340](#).
- 980-340-55-43** This deferral represents a phase-in plan unless that rate treatment was routinely used before 1982 by that regulator for similar allowable costs of that regulated entity. The definition of a phase-in plan provides that a phase-in plan defers the rates intended to recover allowable costs beyond the period in which those allowable costs would be charged to expense under generally accepted accounting principles (GAAP) applicable to entities in general. The interest capitalization period should end and depreciation for the common facilities should begin on February 1, 19X1. Assuming the depreciation pattern for those facilities that results from the above rate-making treatment is not a rational and systematic method of depreciation that would be acceptable for an entity in general, that deferral of depreciation and interest is a phase-in plan. If the depreciation pattern for those facilities that results from the above treatment is a rational and systematic method of depreciation that would be acceptable for an entity in general, only the deferral of the interest is a phase-in plan.
- 980-340-55-44** Subtopic [980-340](#) provides an exception to the definition of a phase-in plan for the effects of regulatory lag. However, regulatory lag ends for a utility's newly completed plant with the first rate order that both:
- Is effective after the in-service date of that plant
  - Addresses the costs of that plant.
- Therefore, even if different portions of the cost of a unit of property (for example, transmission facilities) are considered for rate treatment in successive rate filings under the notion of regulatory lag, it creates a phase-in plan.

## 980 Regulated Operations

### 350 Intangibles—Goodwill and Other

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

- 980-350-05-1** This Subtopic provides guidance for goodwill and other intangible assets for entities with regulated operations.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

- 980-350-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

# 35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

### > Amortization of Goodwill

- 980-350-35-1** Topic [350](#) states that goodwill shall not be amortized and shall be tested for impairment in accordance with that Subtopic. For rate-making purposes, a regulator may permit an entity to amortize purchased goodwill over a specified period. In other cases, a regulator may direct an entity not to amortize goodwill or to write off goodwill.
- 980-350-35-2** If the regulator permits all or a portion of goodwill to be amortized over a specific time period as an allowable cost for rate-making purposes, the regulator's action provides reasonable assurance of the existence of a regulatory asset (see paragraph [980-340-25-1](#)). That regulatory asset would then be amortized for financial reporting purposes over the period during which it will be allowed for rate-making purposes. Otherwise, goodwill shall not be amortized and shall be accounted for in accordance with Topic [350](#).

## > Long-Term Power Sales Contracts

- 980-350-35-3** A long-term power sales contract that is not accounted for as a derivative instrument under Topic [815](#) shall be periodically reviewed to determine whether it is a loss contract in which the loss shall be recognized immediately.
- 980-350-35-4** For long-term power sales contracts acquired in a purchase business combination, any premium related to a contractual rate in excess of the current market rate should be amortized over the remaining portion of the respective portion of the contract. For example, if the above market rate relates to the fixed or scheduled portion of the contract, the premium would be amortized over the remaining fixed period of the acquired contract.
- 980-350-35-5** See paragraph [980-605-25-15](#) for a discussion of a long-term power sales contract that meets the definition of a derivative.

# 980 Regulated Operations

## 360 Property, Plant, and Equipment

### 05 Overview and Background

**i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

- 980-360-05-1** This Subtopic provides guidance for property, plant, and equipment for entities with regulated operations. It provides guidance for plant abandonments and disallowances of costs of recently completed plants, as well as for the capitalization of an [allowance for funds used during construction](#).

## 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-360-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

### Allowance for Funds Used during Construction

The cost of financing construction as financed partially by borrowings and partially by equity, capitalized as part of the cost of plant and equipment pursuant to requirements of the regulator.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Allowance for Funds Used During Construction

**980-360-25-1** Paragraph [980-835-25-1](#) requires an [allowance for funds used during construction](#), including a designated cost of equity funds, to be capitalized in specified circumstances as part of the acquisition cost of the related asset. That cost shall be capitalized under those circumstances only if its subsequent inclusion in [allowable costs](#) for rate-making purposes is probable.

**980-360-25-2** [Paragraph not used.](#)

## 35 Subsequent Measurement

**General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

### > Abandonments

#### · > Accounting for Abandonments

**980-360-35-1** When it becomes probable (likely to occur) that an operating asset or an asset under construction will be abandoned, the cost of that asset shall be removed from construction work-in-process or plant-in-service.

**980-360-35-2** The entity shall determine whether recovery of any allowed cost is likely to be provided with either of the following:

- Full return on investment during the period from the time when abandonment becomes probable to the time when recovery is completed

b. Partial or no return on investment during that period.

**980-360-35-3**

That determination shall focus on the facts and circumstances related to the specific abandonment and shall also consider the past practice and current policies of the applicable regulatory jurisdiction on abandonment situations. Based on that determination, the entity shall account for the cost of the abandoned plant as follows:

a. Full return on investment is likely to be provided. Any disallowance of all or part of the cost of the abandoned plant that is both probable and reasonably estimable (as defined in Topic 450) shall be recognized as a loss, and the carrying basis of the recorded asset shall be correspondingly reduced. The remainder of the cost of the abandoned plant shall be reported as a separate new asset.

b. Partial or no return on investment is likely to be provided. Any disallowance of all or part of the cost of the abandoned plant that is both probable and reasonably estimable shall be recognized as a loss. The present value of the future revenues expected to be provided to recover the allowable cost of that abandoned plant and return on investment, if any, shall be reported as a separate new asset. Any excess of the remainder of the cost of the abandoned plant over that present value also shall be recognized as a loss. The discount rate used to compute the present value shall be the entity's incremental borrowing rate, that is, the rate that the entity would have to pay to borrow an equivalent amount for a period equal to the expected recovery period. In determining the present value of expected future revenues, the entity shall consider such matters as the following:

1. The probable time period before such recovery is expected to begin

2. The probable time period over which recovery is expected to be provided.

If the estimate of either period is a range, the guidance in Section 450-20-55 shall be applied to determine the loss to be recognized. Accordingly, the most likely period within that range shall be used to compute the present value. If no period within that range is a better estimate than any other, the present value shall be based on the minimum time period within that range.

**980-360-35-4**

The recorded amount of the new asset shall be adjusted from time to time as necessary if new information indicates that the estimates used to record the separate new asset have changed. The rate order is usually viewed as the confirming event, permitting an estimate of the loss to be refined at that time. However, a loss shall not be recognized unless it is probable that a loss has occurred and the amount can be reasonably estimated. If those criteria are not met at the time of an initial rate order, the loss shall not be recognized at that time.

**980-360-35-5**

The estimates used to record the separate new asset include both of the following:

a. The determination of whether full return on investment will be provided and, if not, the probable time period before recovery is expected to begin and the probable time period over which recovery is expected to be provided

b. The amount of any probable and reasonably estimable disallowance of recorded costs of the abandoned plant.

**980-360-35-6**

The amount of the adjustment shall be recognized in income as a loss or gain. The recorded carrying amount of the new asset shall not be adjusted for changes in the entity's incremental borrowing rate.

**980-360-35-7**

During the period between the date on which the new asset is recognized and the date on which recovery begins, the carrying amount shall be increased by accruing a carrying charge. The rate used to accrue that carrying charge shall be as follows:

a. If full return on investment is likely to be provided, a rate equal to the allowed overall cost of capital in the jurisdiction in which recovery is expected to be provided shall be used.

b. If partial or no return on investment is likely to be provided, the rate that was used to compute the present value shall be used.

**980-360-35-8** During the recovery period, the new asset shall be amortized as follows:

- a. If full return on investment is likely to be provided, the asset shall be amortized in the same manner as that used for rate-making purposes.
- b. If partial or no return on investment is likely to be provided, the asset shall be amortized in a manner that will produce a constant return on the unamortized investment in the new asset equal to the rate at which the expected revenues were discounted.

## · > Income Tax Effects

**980-360-35-9** Usually, the net loss on an abandonment shall be computed by discounting the after-tax future revenues expected to be allowed by the regulator at an after-tax incremental borrowing rate and comparing the result to the recorded net investment in the abandoned plant. If that discounted present value is less than the recorded net investment, a net loss shall be recognized. However, the present accounting model generally does not permit display of losses on a net-of-tax basis. As a result, the net loss on an abandonment is grossed up for display purposes.

**980-360-35-10** The computation of a loss on an abandonment (see Example 1 [paragraph [980-360-55-2](#)]) is intended to approximate the economic effects of the regulator's rate actions in the preceding paragraph. The computation is based on both of the following general assumptions about the rate-making methods used for income taxes:

- a. Deferred income taxes are allocated to the assets that resulted in those deferred income taxes. Under that assumption, if certain assets are included in the rate base (that is, a return is allowed on those assets), the deferred income taxes allocated to those assets are deducted from the rate base in computing the investment on which a return will be allowed. Similarly, if certain assets are excluded from the rate base (that is, a return is not allowed on those assets), the deferred income taxes allocated to those assets are not deducted from the rate base in computing the investment on which a return will be allowed.
- b. Income taxes that result from recovery of the recorded cost of the abandoned plant will be treated as [allowable costs](#) when those income taxes become payable to the extent those income taxes do not represent repayment of an income tax benefit that has already accrued to the entity's shareholders.

**980-360-35-11** If the rate-making methods used for an entity differ from the assumptions stated in the preceding paragraph, the computation used to compute the loss on the abandonment shall be different from that described in paragraph [980-360-35-9](#) and illustrated in Example 1 (see paragraph [980-360-55-2](#)). The computation shall be changed to reflect the different economics of those different rate-making methods. For example, if the regulator deducts all existing deferred income taxes from the rate base in determining the investment on which a return will be provided (instead of allocating deferred income taxes between items included in the rate base and items excluded from the rate base), the procedure effectively disallows a return on the gross investment in the abandoned plant instead of disallowing a return on the net investment, and the recognized loss shall reflect a disallowance of a return on the gross investment in the abandoned plant.

## > Cost Disallowances

### · > Recently Completed Plants

**980-360-35-12** When it becomes probable that part of the cost of a recently completed plant will be disallowed for rate-making purposes and a reasonable estimate of the amount of the disallowance can be made, the estimated amount of the probable disallowance shall be deducted from the reported cost of the plant and recognized as a loss. Section [450-20-55](#) provides guidance for making a reasonable estimate of

the amount of a loss. If part of the cost is explicitly, but indirectly, disallowed (for example, by an explicit disallowance of return on investment on a portion of the plant), an equivalent amount of cost shall be deducted from the reported cost of the plant and recognized as a loss.

### · > Excess Capacity

**980-360-35-13** Excess capacity disallowances relate to part of the cost of service of a recently completed plant and are based on a finding that an entity's reserve capacity exceeds an amount deemed to be reasonable. If an excess capacity disallowance is ordered by a regulator without a specific finding that the entity should not have constructed that capacity or should have delayed the construction of that capacity, the rate order raises questions about whether the entity meets the criteria of paragraph 980-10-15-2 for application of this Topic, in that it is not being regulated based on its own cost of service. However, because such a rate order itself is neither a direct disallowance nor an explicit, but indirect, disallowance of part of the cost of the plant, this Section does not specify the accounting for it. If an excess capacity disallowance is ordered by a regulator with a specific finding that the entity should not have constructed that capacity or should have delayed the construction of that capacity, the rate order may be an explicit, but indirect, disallowance of part of the cost of the plant, and the entity shall account for the substance of that order as set forth in the preceding paragraph.

**980-360-35-14** If a regulator has included a recently completed plant in rates based on the assumed cost of another plant rather than based on the cost of the plant that exists, then the entity is not being regulated based on its own cost, and the criteria of paragraph 980-10-15-2 for application of this Topic do not appear to be met. If the rate order is based on a finding that, based on factors that were known during the construction, the entity should not have constructed the plant that it did construct, the order may be an explicit, but indirect, disallowance, and it shall be accounted for as set forth in paragraph 980-360-35-12. Otherwise, unless the order is being appealed, the entity shall consider discontinuing application of this Topic.

**980-360-35-15** Regulators have considerable discretion in selecting a rate that represents a fair return on equity investment, and that specific matters included in a settlement agreement might not be apparent. Explicit, but indirect, disallowances shall be reported as disallowances; however, an entity is not required to determine whether the terms of a settlement agreement or rate order contain a hidden, indirect disallowance.

### · > Examples of Cost Disallowances

**980-360-35-16** The following Examples illustrate specific situations related to cost disallowances:

- Example 2 (see paragraph 980-360-55-14) illustrates a disallowance of plant cost.
- Example 3 (see paragraph 980-360-55-18) illustrates a disallowance of plant cost resulting from a cost cap.
- Example 4 (see paragraph 980-360-55-26) illustrates an explicit, but indirect, disallowance.

## 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

# General

## > Illustrations

**980-360-55-1** Cases similar to those illustrated in this Section may involve income tax effects that could accrue to the utility in question. Under Subtopic 740-10, the tax effects of temporary differences are measured based on enacted tax laws and rates and are recognized based on specified criteria.

· > Example 1: Computation of the Loss on an Abandonment

**980-360-55-2** This Example illustrates how a loss on an abandonment should be computed under the guidance in Section 450-20-55 and paragraphs 980-360-35-9 through 35-11 by an entity that has applied Subtopic 740-10. The Example is based on specific rate actions related to the abandonment and on the other assumptions stated. The computations may need to be changed to reflect the economic effects of different fact situations.

**980-360-55-3** The principal assumptions on which the Example is based are as follows:

- a. Upon initial application of Subtopic 740-10, an entity that meets the criteria of paragraph 980-10-15-2 for application of this Topic will adjust its deferred income tax liabilities as required. This Example is presented as though the entity has already applied Subtopic 740-10 prior to the date of the abandonment. If an entity initially applies that Subtopic after a loss has been recognized on an abandonment and before the end of the recovery period for any recoverable costs, the amount of the previously recognized loss may change. The amount of that loss will change if the tax rate used in the initial net-of-tax discount rate under that Subtopic is different from that used by the entity previously. Once that Subtopic is initially applied, the accounting for the abandonment should follow the approach described in this Example.
- b. This Example assumes a tax rate of 34 percent.
- c. Utility A decides to abandon a plant that has been under construction for some time. Although the possibility of abandoning the plant has been under consideration, abandonment was not considered probable before the actual decision was made.
- d. Immediately before the abandonment, the recorded assets for the plant and related deferred income tax liabilities are as follows.

|                                                                                                                          | Assets                | Deferred<br>Income Tax<br>Liabilities |
|--------------------------------------------------------------------------------------------------------------------------|-----------------------|---------------------------------------|
| Recorded plant and related deferred income tax liabilities                                                               | \$ 750,500,000        | \$ 85,170,000                         |
| Asset representing revenue that will be provided for payment of income taxes and related deferred income tax liabilities | 76,015,152            | 25,845,152                            |
| Total                                                                                                                    | <u>\$ 826,515,152</u> | <u>\$111,015,152</u>                  |

e. For income tax purposes, the abandoned plant has a basis of \$500 million at the date of the abandonment.

- f. Utility A will deduct the remaining tax basis of the abandoned plant (\$500,000,000) as an abandonment loss on its income tax return in the year of the abandonment and will receive a tax benefit of 34 percent of the tax basis of the plant (\$170,000,000). Utility A operates in a state that has no state income taxes. The federal income tax rate is 34 percent.
- g. Accounting pretax income before the loss on the abandonment and taxable income before any deduction for the loss on the abandonment are both \$1,500,000,000. Utility A has no other temporary differences or tax credits.
- h. Utility A operates solely in a single-state jurisdiction.
- i. In the past, Utility A's regulator has permitted recovery of amounts prudently invested in abandoned plants over an extended period of time without a return on unrecovered investment during the recovery period.
- j. The normal practice of Utility A's regulator is to allocate deferred income taxes to assets on which return on investment is disallowed. Deferred taxes allocated to assets excluded from the rate base are not deducted from the rate base for purposes of computing allowable return on investment.
- k. Utility A's regulator normally treats income taxes that were not previously provided as [allowable costs](#) if they result from recovery of other allowable costs.
- l. Utility A's incremental borrowing rate at the date of the decision to abandon the plant is 14 percent, interest payable monthly.
- m. Utility A believes that it is probable that recovery of cost without return on investment during the recovery period will be granted over a period that will not be less than 5 years nor more than 10 years, but it has no basis for estimating the exact time period that the regulator will select.
- n. At the date of the abandonment, Utility A believes that it will take approximately 18 months to obtain a rate order covering the abandoned plant.
- o. No disallowance of recorded cost is expected.
- p. A rate order covering the abandoned plant is received in the 18th month following the abandonment. There is no disallowance of recorded costs of the abandoned plant. Those recorded costs are to be recovered over 60 months commencing in the 19th month after abandonment.

**980-360-55-4**

Because the amount of deferred taxes related to the remaining investment is both a component of the net investment on which return would be based in the regulatory process and based on the amount of the accounting loss on the abandonment (which is based on the present value of the net investment), the present value of the net investment cannot be derived through a simple present value calculation using a pretax rate. That present value could be derived through a series of iterative calculations, starting with an assumed loss and the resulting deferred tax amounts, then computing the accrual of return on investment and amortization by applying the pretax rate to the resulting net investment, and then computing the income tax effects of the resulting pretax income. Using the remaining asset at the end of the recovery period, the estimate of the loss could be refined until the accrual of a return, amortization, recovery of recorded costs, and the related tax effects resulted in a zero net asset at the end of the recovery period. Alternatively, the net loss can be initially computed based on a present value calculation using an after-tax rate. While that approach is used in this Example, either approach will provide the same result. The following paragraphs illustrate how that approach can be used and the resulting computations of loss recognition, return to be accrued, and amortization.

**980-360-55-5**

When the abandonment becomes probable (in this case, at the date of the decision to abandon), Utility A should remove the recorded cost of the plant from the construction work-in-process accounts. Any disallowance of the recorded cost that is probable and can be reasonably estimated should also be recorded as a loss. There is none in this Example. Utility A should record a separate new asset, representing the future revenues expected to result from the regulator's treatment of the cost of the abandoned plant, at the present value of those expected future revenues.

**980-360-55-6** The next step is to compute the deferred income tax liabilities that would be recorded if the tax consequences of the abandonment were recognized before any loss related to the disallowance of return on investment were recognized. When the tax basis of the abandoned plant is deducted as an abandonment loss on the current year's tax return, an additional \$500,000,000 of the recorded cost of the asset will be without tax basis. Recovery of that additional amount will result in \$500,000,000 of taxable income. The deferred income tax liability on that amount should be computed in accordance with Subtopic 740-10. This Example assumes that the rate is the statutory rate of 34 percent and that Utility A should recognize additional deferred income tax liabilities of \$170,000,000.

**980-360-55-7** The amount of tax benefit that resulted from the current deduction of the abandonment loss is also \$170,000,000, so no additional asset representing revenue that will be provided for the payment of income taxes should be recognized. Thus, the recorded balance sheet items related to the plant after the abandonment, but before any loss for disallowance of return on investment is recognized, and the resulting net investment should be as follows.

|                                                                                                                          | <u>Assets</u>             | <u>Deferred<br/>Income Tax<br/>Liabilities</u> |
|--------------------------------------------------------------------------------------------------------------------------|---------------------------|------------------------------------------------|
| Recorded plant and related deferred income tax liabilities                                                               | \$ 750,500,000            | \$ 255,170,000                                 |
| Asset representing revenue that will be provided for payment of income taxes and related deferred income tax liabilities | 76,015,152                | 25,845,152                                     |
| Total assets                                                                                                             | <u>\$ 826,515,152 (1)</u> |                                                |
| Total deferred income tax liabilities                                                                                    |                           | <u>\$ 281,015,152 (2)</u>                      |
| Net investment (1) – (2)                                                                                                 |                           | <u>\$ 545,500,000</u>                          |

**980-360-55-8** If the computed additional deferred income tax liabilities did not equal the tax benefit that resulted from the abandonment loss, the difference should be recorded as an adjustment of the asset representing revenue that will be provided for the payment of income taxes.

**980-360-55-9** The cash flows provided to recover the asset should be estimated to begin in 19 months. For purposes of computing the present value of the net investment, the probable future after-tax revenues would be estimated at \$9,091,667 per month for 5 years (based on an assumed straight-line recovery of the net investment over the 5-year minimum period within the range— \$545,500,000/60). The discount rate used should be 9.24 percent (14 percent net of tax at the rate computed in paragraph 980-360-55-6). The computation of the amount to be recorded for the new asset and of the loss resulting from the abandonment would be as follows.

|                                                                                                                                                                                                                               |                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
| Present value of \$9,091,667 per month at 9.24% for 60 months, starting at the end of the 19th month (amount of new asset net of related deferred income taxes) (components computed in the table in the following paragraph) | \$ 379,361,954        |
| Less net investment in abandoned plant (computed in the table in the preceding paragraph)                                                                                                                                     | <u>545,500,000</u>    |
| Loss (net of related income taxes) to be recognized at time of decision to abandon the plant                                                                                                                                  | <u>\$ 166,138,046</u> |

**980-360-55-10** The net loss should be allocated between the new asset resulting from the abandonment and the existing deferred taxes based on the relationship between the investment (100 percent), deferred taxes (34 percent, computed as \$281,015,152/\$826,515,152), and the net investment (66 percent). The computation would be as follows.

|                                  | <u>Gross<br/>Investment</u>  | <u>Deferred<br/>Taxes</u>   | <u>Net<br/>Investment</u> |
|----------------------------------|------------------------------|-----------------------------|---------------------------|
| Balances before loss recognition | \$ 826,515,152               | \$ 281,015,152              | \$ 545,500,000            |
| Loss to be recognized            | (251,724,312) <sup>(a)</sup> | (85,586,266) <sup>(b)</sup> | (166,138,046)             |
| Balances after loss recognition  | <u>\$ 574,790,840</u>        | <u>\$ 195,428,886</u>       | <u>\$ 379,361,954</u>     |

(a) Computed as \$166,138,046 ÷ 0.66

(b) Computed as \$251,724,312 × 34%

**980-360-55-11** Pending receipt of a rate order, Utility A should accrue carrying charges on the net recorded asset at a monthly rate of 1/12 of 14 percent. Taxes should be provided on those accrued carrying charges based on the rate required to adjust the accumulated deferred income tax liabilities to the amounts

required by Subtopic 740-10. Usually, that rate will be the statutory rate. The following table illustrates those computations based on the statutory rate.

| Schedule 3 |                    |                 |                        |                   |                          |                            |
|------------|--------------------|-----------------|------------------------|-------------------|--------------------------|----------------------------|
|            | (1)                | (2)             | (3)                    | (4)               | (5)                      | (6)                        |
|            | Beginning of Month |                 |                        |                   |                          |                            |
| Mo.        | Gross Investment   | Deferred Charge | Related Deferred Taxes | Net Investment    | Carrying Charges Accrued | Inc. Tax Liability Accrued |
| Comp.      | (a)                |                 | (b)                    | [(1) + (2) - (3)] | [14% ÷ 12 x (4)]         | [34% x (5)]                |
| 1          | \$ 498,775,688     | \$ 76,015,152   | \$ 195,428,886         | \$ 379,361,954    | \$ 4,425,889             | \$ 1,504,802               |
| 2          | 503,201,577        | 76,015,152      | 196,933,688            | 382,283,041       | 4,459,969                | 1,516,390                  |
| 3          | 507,661,546        | 76,015,152      | 198,450,078            | 385,226,620       | 4,494,310                | 1,528,065                  |
| 4          | 512,155,856        | 76,015,152      | 199,978,143            | 388,192,865       | 4,528,917                | 1,539,832                  |
| 5          | 516,684,773        | 76,015,152      | 201,517,975            | 391,181,950       | 4,563,789                | 1,551,688                  |
| 6          | 521,248,562        | 76,015,152      | 203,069,663            | 394,194,051       | 4,598,931                | 1,563,636                  |
| 7          | 525,847,493        | 76,015,152      | 204,633,299            | 397,229,346       | 4,634,342                | 1,575,677                  |
| 8          | 530,481,835        | 76,015,152      | 206,208,976            | 400,288,011       | 4,670,027                | 1,587,809                  |
| 9          | 535,151,862        | 76,015,152      | 207,796,785            | 403,370,229       | 4,705,986                | 1,600,035                  |
| 10         | 539,857,848        | 76,015,152      | 209,396,820            | 406,476,180       | 4,742,222                | 1,612,356                  |
| 11         | 544,600,070        | 76,015,152      | 211,009,176            | 409,606,046       | 4,778,737                | 1,624,770                  |
| 12         | 549,378,807        | 76,015,152      | 212,633,946            | 412,760,013       | 4,815,534                | 1,637,282                  |
| 13         | 554,194,341        | 76,015,152      | 214,271,228            | 415,938,265       | 4,852,613                | 1,649,888                  |
| 14         | 559,046,954        | 76,015,152      | 215,921,116            | 419,140,990       | 4,889,978                | 1,662,593                  |
| 15         | 563,936,932        | 76,015,152      | 217,583,709            | 422,368,375       | 4,927,631                | 1,675,394                  |
| 16         | 568,864,563        | 76,015,152      | 219,259,103            | 425,620,612       | 4,965,574                | 1,688,295                  |
| 17         | 573,830,137        | 76,015,152      | 220,947,398            | 428,897,891       | 5,003,809                | 1,701,296                  |
| 18         | 578,833,946        | 76,015,152      | 222,648,694            | 432,200,404       | 5,042,338                | 1,714,395                  |
| 19         | 583,876,284        | 76,015,152      | 224,363,089            | 435,528,347       |                          |                            |

**Computations:**  
 (a) Prior month (1) + prior month (5)  
 (b) Prior month (3) + prior month (6)

**980-360-55-12**

Based on the rate order (see paragraph 980-360-55-3(n)), revenues actually allowed would be \$13,775,253 per month (\$826,515,152/60). Earnings should continue to be recognized each month equal to 1/12 of 14 percent of the remaining net investment, and taxes should continue to be provided on those earnings at the rate required to adjust the recorded deferred income tax liabilities to the amount required by Subtopic 740-10. Usually that rate would be the statutory rate. The following table illustrates those computations using the 34 percent statutory rate.

| Schedule 4 |                    |                 |                      |                |                          |                                  |                                 |                    |
|------------|--------------------|-----------------|----------------------|----------------|--------------------------|----------------------------------|---------------------------------|--------------------|
|            | (1)                | (2)             | (3)                  | (4)            | (5)                      | (6)                              | (7)                             | (8)                |
|            | Beginning of Month |                 |                      |                |                          |                                  |                                 |                    |
| Mo.        | Gross Investment   | Deferred Charge | Income Tax Liability | Net Investment | Return on Net Investment | Amortization of Gross Investment | Amortization of Deferred Charge | Income Tax Expense |
| Comp.      | (a)                | (b)             | (c)                  | [(1)+(2)-(3)]  | [14%÷12 x (3)]           | (d)                              |                                 | [34% x (5)]        |
| 19         | \$ 583,876,284     | \$ 76,015,152   | \$ 224,363,089       | \$ 435,528,347 | \$ 5,081,164             | \$ 7,427,169                     | \$ 1,266,919                    | \$ 1,727,596       |
| 20         | 576,449,115        | 74,748,233      | 221,407,099          | 429,790,249    | 5,014,219                | 7,494,114                        | 1,266,919                       | 1,704,835          |
| 21         | 568,955,001        | 73,481,314      | 218,428,348          | 424,007,967    | 4,946,759                | 7,561,574                        | 1,266,919                       | 1,681,898          |
| 22         | 561,393,427        | 72,214,395      | 215,426,660          | 418,181,162    | 4,878,780                | 7,629,553                        | 1,266,919                       | 1,658,786          |
| 23         | 553,763,874        | 70,947,475      | 212,401,859          | 412,309,490    | 4,810,277                | 7,698,056                        | 1,266,919                       | 1,635,494          |
| 24         | 546,065,818        | 69,680,556      | 209,353,767          | 406,392,607    | 4,741,247                | 7,767,086                        | 1,266,919                       | 1,612,024          |
| 25         | 538,298,732        | 68,413,637      | 206,282,206          | 400,430,163    | 4,671,685                | 7,836,648                        | 1,266,919                       | 1,588,373          |
| 26         | 530,462,084        | 67,146,718      | 203,186,993          | 394,421,809    | 4,601,587                | 7,906,746                        | 1,266,919                       | 1,564,540          |
| 27         | 522,555,338        | 65,879,799      | 200,067,947          | 388,367,190    | 4,530,951                | 7,977,382                        | 1,266,919                       | 1,540,524          |
| 28         | 514,577,956        | 64,612,879      | 196,924,884          | 382,265,951    | 4,459,769                | 8,048,564                        | 1,266,919                       | 1,516,322          |
| 29         | 506,529,392        | 63,345,960      | 193,757,620          | 376,117,732    | 4,388,040                | 8,120,293                        | 1,266,919                       | 1,491,934          |
| 30         | 498,409,099        | 62,079,041      | 190,585,968          | 369,922,172    | 4,315,758                | 8,192,575                        | 1,266,919                       | 1,467,358          |
| 31         | 490,216,524        | 60,812,122      | 187,349,740          | 363,678,906    | 4,242,920                | 8,265,413                        | 1,266,919                       | 1,442,593          |
| 32         | 481,951,111        | 59,545,203      | 184,106,747          | 357,387,567    | 4,169,521                | 8,338,812                        | 1,266,919                       | 1,417,638          |
| 33         | 473,612,299        | 58,278,283      | 180,842,798          | 351,047,784    | 4,095,558                | 8,412,775                        | 1,266,919                       | 1,392,490          |
| 34         | 465,199,524        | 57,011,364      | 177,551,702          | 344,659,186    | 4,021,023                | 8,487,310                        | 1,266,919                       | 1,367,148          |
| 35         | 456,712,214        | 55,744,445      | 174,235,264          | 338,221,395    | 3,945,916                | 8,562,417                        | 1,266,919                       | 1,341,612          |
| 36         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 37         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 38         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 39         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 40         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 41         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 42         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 43         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 44         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 45         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 46         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 47         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 48         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 49         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 50         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 51         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 52         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 53         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 54         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 55         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 56         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 57         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 58         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 59         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 60         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 61         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 62         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 63         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 64         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 65         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 66         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 67         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 68         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 69         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 70         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 71         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 72         | -                  | -               | -                    | -              | -                        | -                                | -                               | -                  |
| 73         | 72,867,498         | 7,601,515       | 27,359,464           | 53,109,549     | 619,612                  | 11,888,721                       | 1,266,919                       | 210,669            |
| 74         | 60,978,777         | 6,334,596       | 22,886,547           | 44,426,826     | 518,312                  | 11,990,021                       | 1,266,919                       | 176,226            |
| 75         | 48,988,756         | 5,067,677       | 18,379,187           | 35,677,246     | 416,234                  | 12,092,099                       | 1,266,919                       | 141,520            |
| 76         | 36,896,657         | 3,800,758       | 13,837,121           | 26,860,294     | 313,370                  | 12,194,963                       | 1,266,919                       | 106,546            |
| 77         | 24,701,694         | 2,533,839       | 9,260,082            | 17,975,451     | 209,714                  | 12,298,619                       | 1,266,919                       | 71,304             |
| 78         | 12,403,075         | 1,266,919       | 4,647,798            | 9,022,196      | 105,258                  | 12,403,075                       | 1,266,919                       | 35,788             |

**Computations:**  
 (a) Prior month (1) - prior month (6)  
 (b) Prior month (2) - prior month (7)  
 (c) Prior month (3) - prior month (9)  
 (d) \$13,775,253 - (5) - (7)  
 (e) \$4,883,685 - (8)

**980-360-55-13**

In the event of a change in tax rates, the accumulated deferred income tax liabilities should be adjusted to the computed liability at the new rates. If the change in tax rates causes a reduction of

the recorded deferred income tax liability, that reduction would usually result in a reduction of the recorded asset representing revenue that will be provided for payment of income taxes. If the change in tax rates causes an increase of the recorded deferred income tax liability, that increase would usually result in an increase of the recorded asset representing revenue that will be provided for payment of income taxes. However, the regulator's expected rate actions could change that result.

· > Example 2: Disallowance of Plant Cost

- 980-360-55-14    This Example illustrates the guidance in paragraphs 980-360-35-12 through 35-14.
- 980-360-55-15    This Example assumes a tax rate of 34 percent.
- 980-360-55-16    Assume that Utility B operates in two state jurisdictions. After an extensive prudence investigation, the regulator in one of those state jurisdictions disallows \$865 million of the \$3.6 billion total cost of Utility B's recently completed nuclear generating plant. That state jurisdiction represents approximately 50 percent of Utility B's operations, and approximately 50 percent of the output of the recently completed plant is expected to be used in that state. The tax basis of the plant is \$2.4 billion. The regulator indicates that the tax benefit from a ratable portion of depreciation will be given to the shareholders as a result of the disallowance. After consultation with counsel, Utility B decides that it should not appeal the regulator's disallowance. The regulator in Utility B's other state jurisdiction has not participated in the prudence investigation, and there is no indication that a similar disallowance is likely in that jurisdiction.
- 980-360-55-17    Utility B should recognize the effective disallowance as a loss. Because only 50 percent of the plant's cost will be recoverable from customers in the state, the effective disallowance is 50 percent of the amount disallowed, or \$432.5 million. The disallowance should be recognized when the disallowance is probable and the amount of the disallowance can be reasonably estimated, and those conditions are met in this case. The tax benefit of the loss will be realized as future depreciation is taken for income tax purposes. Since the tax benefit of the plant is based on \$2.4 billion and the cost of the plant prior to the disallowance is \$3.6 billion, only two-thirds of the loss is available for tax benefit. A deferred tax benefit, based on two-thirds of the loss, can be recognized when the loss is recognized providing that benefit meets the criteria of Subtopic 740-10 for recognition.

· > Example 3: Disallowance of Plant Cost Resulting from a Cost Cap

- 980-360-55-18    This Example illustrates the guidance in paragraphs 980-360-35-12 through 35-14.
- 980-360-55-19    This Example assumes a tax rate of 34 percent.
- 980-360-55-20    Assume that Utility C, which operates solely in one state jurisdiction, is constructing a new electric generating plant. Completion is expected to take approximately one year. The cost of the plant, which was originally expected to be \$1.25 billion, is now estimated to be as follows.

|                                                                                                   |                         |
|---------------------------------------------------------------------------------------------------|-------------------------|
| Costs capitalized to date                                                                         | \$ 2,700,000,000        |
| Allowance for funds used during construction on above for 1 year at 11.25%                        | 303,750,000             |
| Remaining labor, materials, and so forth, to complete, expected to be spent ratably over the year | 469,822,500             |
| Allowance for funds used during construction on above for 1/2 year at 11.25%                      | 26,427,500              |
| Total estimated cost at completion                                                                | <u>\$ 3,500,000,000</u> |
- 980-360-55-21    Various parties have charged that certain cost increases were a result of imprudent management of the construction.
- 980-360-55-22    To avoid the cost and time delay that would be involved in a full-scale prudence investigation of the construction of the plant, Utility C and its regulator agree that the total cost of the plant that will be

allowable in determining depreciation and that will be allowed in Utility C's rate base will be \$3.4 billion. If the eventual cost of the plant exceeds that cap, a ratable portion of the tax benefit of depreciation will accrue to the benefit of the shareholders. For tax purposes, the plant is expected to have a net depreciable basis of \$2.0 billion.

**980-360-55-23** The loss that results from the disallowance inherent in the cost cap would be computed as follows.

|                                                                                                                                              |                       |
|----------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
| Total estimated cost at completion                                                                                                           | \$ 3,500,000,000      |
| Maximum allowable cost                                                                                                                       | 3,400,000,000         |
| Difference                                                                                                                                   | <u>\$ 100,000,000</u> |
| Loss to be recognized (present value of difference at 11.25% allowance for funds used during construction rate, based on 1 year to complete) | \$ 89,887,600         |
| Deferred tax benefit of loss ( $2.0 \div 3.5 \times \$100,000,000 \times 34\%$ )                                                             | <u>19,428,600</u>     |
| Net loss to be recognized when cost cap is agreed to                                                                                         | <u>\$ 70,459,000</u>  |

**980-360-55-24** After the loss is recognized, an [allowance for funds used during construction](#) would continue to be recorded based on the remaining recorded costs. Subsequently, if additional increases in the cost of the plant become probable and those costs are not allowable under the agreed cost cap, those increases would also be recognized as losses from disallowances when they become probable.

**980-360-55-25** If the regulator ordered a cost cap that Utility C did not agree to, Utility C would have to assess whether the criteria of Topic [450](#) for loss recognition are met. If those criteria are met, the accounting would be as indicated above. Otherwise, no loss would be recognized until that loss was probable and could be reasonably estimated. Because of the possible disallowance inherent in the cost cap, it may no longer be probable that some amount of allowance for funds used during construction will be included in allowable costs in the future, and that amount may be reasonably estimable. In that case, that amount of allowance for funds used during construction would not be capitalized.

#### · > Example 4: Explicit, but Indirect, Disallowance

**980-360-55-26** This Example illustrates the guidance in paragraphs [980-360-35-12 through 35-14](#).

**980-360-55-27** Assume that Utility D operates solely in a single-state jurisdiction. On January 1, 19X1, Utility D's new electric generating plant becomes operational. The cost of that plant is \$1 billion.

**980-360-55-28** Utility D's regulator concludes that part of the cost of the recently completed plant was imprudently incurred. However, rather than disallow the specific costs that were imprudent, the regulator instead excludes 10 percent (\$100 million) of the plant from the rate base, thereby providing no return on investment on that portion of the plant. The regulator does not intend any part of the tax benefit of depreciation to accrue to the benefit of Utility D's shareholders. The regulator indicates that the exclusion of 10 percent of the plant's cost from the rate base is intended to be permanent. The utility concludes that it will not appeal the disallowance after considering the likely outcome of an appeal.

**980-360-55-29** Utility D should record the indirect disallowance as a loss and should estimate the amount of that loss using the best available information. If the regulator specifies the amount of cost that was imprudent, that amount may be the best estimate of the loss. Otherwise, Utility D would have to estimate the future cash flows that have been disallowed as a result of the order and determine the effective disallowance by computing the present value of those disallowed future cash flows. Since both the disallowed future cash flows and the appropriate discount rate to compute the present value would be estimates, those estimates should be calculated on a consistent basis. Accordingly, if the future cash flows are estimated based on the current weighted-average overall cost of Utility D's capital, that weighted-average overall cost of capital should also be used as the discount rate. The loss has no tax benefit to Utility D.

**980-360-55-30** [Paragraph not used.](#)

**980-360-55-31** [Paragraph not used.](#)

**980-360-55-32** [Paragraph not used.](#)

**980-360-55-33** [Paragraph not used.](#)

**980-360-55-34** [Paragraph not used.](#)

**980-360-55-35** [Paragraph not used.](#)

## S00 Status

**i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

**980-360-S00-1** No updates have been made to this subtopic.

## S45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

#### > Classification of Charges for Abandonment and Disallowances

**980-360-S45-1** See paragraph [980-360-S99-2](#), SAB Topic 10.E, for SEC Staff views on the classification of charges for abandonment and disallowances.

# S50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

### > Tangible and Intangible Utility Plant

**980-360-S50-1** See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.13(b), for disclosure requirements for tangible and intangible utility plants of a public utility company.

### > Jointly Owned Electric Utility Plants

**980-360-S50-2** See paragraph [980-360-S99-1](#), SAB Topic 10.C, for SEC Staff views on disclosure concerning interests in jointly owned utility plants.

# S99 SEC Materials

**General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

### > SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 10.C, Jointly Owned Electric Utility Plants

**980-360-S99-1** The following is the text of SAB Topic 10.C, Jointly Owned Electric Utility Plants.

Facts: Groups of electric utility companies have been building and operating utility plants under joint ownership agreements or arrangements which do not create legal entities for which separate financial statements are presented.<sup>FN1</sup> Under these arrangements, a participating utility has an undivided interest in a utility plant and is responsible for its proportionate share of the costs of construction and operation and is entitled to its proportionate share of the energy produced.

FN1 Before considering the guidance in this SAB Topic, registrants are reminded that the arrangement should be evaluated in accordance with the provisions of Interpretation 46 [Topic 810].

During the construction period a participating utility finances its own share of a utility plant using its own financial resources and not the combined resources of the group. Allowance for funds used during construction is provided in the same manner and at the same rates as for plants constructed to be used entirely by the participant utility.

When a joint-owned plant becomes operational, one of the participant utilities acts as operator and bills the other participants for their proportionate share of the direct expenses incurred. Each individual participant incurs other expenses related to transmission, distribution, supervision and control which cannot be related to the energy generated or received from any particular source. Many companies maintain depreciation records on a composite basis for each class of property so that neither the accumulated allowance for depreciation nor the periodic expense can be allocated to specific generating units whether jointly or wholly owned.

Question: What disclosure should be made on the financial statements or in the notes concerning interests in jointly owned utility plants?

Interpretive Response: A participating utility should include information concerning the extent of its interests in jointly owned plants in a note to its financial statements. The note should include a table showing separately for each interest in a jointly owned plant the amount of utility plant in service, the accumulated provision for depreciation (if available), the amount of plant under construction, and the proportionate share. The amounts presented for plant in service or plant under construction may be further subdivided to show amounts applicable to plant subcategories such as production, transmission, and distribution. The note should include statements that the dollar amounts represent the participating utility's share in each joint plant and that each participant must provide its own financing. Information concerning two or more generating plants on the same site may be combined if appropriate.

The note should state that the participating utility's share of direct expenses of the joint plants is included in the corresponding operating expenses on its income statement (e. g., fuel, maintenance of plant, other operating expense). If the share of direct expenses is charged to purchased power then the note should disclose the amount so charged and the proportionate amounts charged to specific operating expenses on the records maintained for the joint plants.

## · · > SAB Topic 10.E, Classification of Charges for Abandonments and Disallowances

**980-360-S99-2** The following is the text of SAB Topic 10.E, Classification of Charges for Abandonment and Disallowances.

Facts: A public utility company abandons the construction of a plant and, under the provisions of Statement 90 [Topic 980], must charge a portion of the costs of the abandoned plant to expense.<sup>FN3</sup> Also, the utility determines that it is probable that certain costs of a recently completed plant will be disallowed, and charges those costs to expense as required by Statement 90 [Topic 980].

FN3 Paragraph 3 of Statement 90 [paragraph 980-360-35-3] requires that costs of abandoned plants in excess of the present value of the future revenues expected to be provided to recover any allowable costs be charged to expense in the period that the abandonment becomes probable. Also, paragraph 7 of Statement 90 [paragraph 980-360-35-12] requires that disallowed costs for recently completed plants be charged to expense when the disallowance becomes probable and can be reasonably estimated.

Question: May such charges for abandonments and disallowances be reported as extraordinary items in the statement of income?

Interpretive Response: No. The staff does not believe that such charges meet the requirements of APB Opinion 30 [Topic [225](#)] that an item be both unusual and infrequent to be classified as an extraordinary item. Accordingly, the public utility was advised by the staff that such charges should be reported as a component of income from continuing operations, separately presented, if material. <sup>FN4</sup>

FN4 Additionally, the registrant was reminded that paragraph 26 of APB Opinion 30 [paragraph [220-20-45-1](#)] provides that items which are not reported as extraordinary should not be reported on the income statement net of income taxes or in any manner that implies that they are similar to extraordinary items.

Paragraph 20 of APB Opinion 30 [paragraph [225-20-45-2](#)] indicates that to be unusual, an item must "possess a high degree of abnormality and be of a type clearly unrelated to, or only incidentally related to, the ordinary and typical activities of the entity, taking into account the environment in which the entity operates." Similarly, that paragraph indicates that, to be infrequent, an event should "not reasonably be expected to recur in the foreseeable future."

Electric utilities operate under a franchise that requires them to furnish adequate supplies of electricity for their service area. That undertaking requires utilities to continually forecast the future demand for electricity, and the costs to be incurred in constructing the plants necessary to meet that demand. Abandonments and disallowances result from the failure of demand to reach projected levels and/or plant construction costs that exceed anticipated amounts. Neither event qualifies as being both unusual and infrequent in the environment in which electric utilities operate.

Accordingly, the staff believes that charges for abandonments and disallowances under Statement 90 should not be presented as extraordinary items. <sup>FN5</sup>

FN5 The staff also notes that paragraphs 3 and 7 of Statement 90 [paragraphs [980-360-35-3](#) and [980-360-35-12](#)], in requiring that such costs be "recognized as a loss," do not specify extraordinary item treatment. The staff believes that it generally has been the FASB's practice to affirmatively require extraordinary item treatment when it believes that it is appropriate for charges or credits to income specifically required by a provision of a statement.

## 980 Regulated Operations

### 405 Liabilities

## 05 Overview and Background

**General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**980-405-05-1** This Subtopic provides guidance for liabilities for entities with regulated operations.

# 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

**i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**980-405-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

# 20 Glossary

**i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

# 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

**i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

### > Regulator-Imposed Liabilities

#### 980-405-25-1

Rate actions of a regulator can impose a liability on a regulated entity. Such liabilities are usually obligations to the entity's customers. The following are the usual ways in which liabilities can be imposed and the resulting accounting:

- a. A regulator may require refunds to customers. Refunds can be paid to the customers who paid the amounts being refunded; however, they are usually provided to current customers by reducing current charges. Refunds that meet the criteria of accrual of loss contingencies (see paragraph [450-20-25-2](#)) shall be recorded as liabilities and as reductions of revenue or as expenses of the regulated entity.
- b. A regulator can provide current rates intended to recover costs that are expected to be incurred in the future with the understanding that if those costs are not incurred future rates will be reduced by corresponding amounts. If current rates are intended to recover such costs and the regulator requires the entity to remain accountable for any amounts charged pursuant to such rates and not yet expended for the intended purpose, the entity shall not recognize as revenues amounts charged pursuant to such rates. The usual mechanism used by regulators for this

purpose is to require the regulated entity to record the anticipated cost as a liability in its regulatory accounting records. Those amounts shall be recognized as liabilities and taken to income only when the associated costs are incurred. (For related implementation guidance, see paragraph [980-405-55-1](#)).

c. A regulator can require that a gain or other reduction of net [allowable costs](#) be given to customers over future periods. That would be accomplished, for rate-making purposes, by amortizing the gain or other reduction of net allowable costs over those future periods and reducing rates to reduce revenues in approximately the amount of the amortization. If a gain or other reduction of net allowable costs is to be amortized over future periods for rate-making purposes, the regulated entity shall not recognize that gain or other reduction of net allowable costs in income of the current period. Instead, it shall record it as a liability for future reductions of charges to customers that are expected to result.

## 40 Derecognition

**General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

### General

#### > Regulator-Imposed Liabilities

**980-405-40-1** Actions of a regulator can eliminate a liability only if the liability was imposed by actions of the regulator.

## 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

### > Implementation Guidance

#### · > Accounting for Contingencies

**980-405-55-1** This paragraph provides guidance on implementing paragraph [980-405-25-1\(b\)](#). A regulator may direct a regulated entity to include an amount for a contingency in allowable costs for rate-making purposes even though the amount does not meet the criteria in Subtopic [450-20](#) for recording. For example, a regulator may direct a regulated entity to include an amount for repairs of expected future uninsured storm damage. If a cost to repair storm damage is not subsequently incurred, the increased charges will have to be refunded to customers through future rate reductions. Accordingly, the regulated entity would recognize the amounts charged pursuant to such rates as liabilities rather than as revenues. If a cost to repair storm damage is subsequently incurred, the entity would charge that cost to expense and reduce the liabilities at that time by recognizing income in amounts equal to the cost.

# 980 Regulated Operations

## 410 Asset Retirement and Environmental Obligations

### 05 Overview and Background

**i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**980-410-05-1** This Subtopic provides guidance for asset retirement obligations for entities with regulated operations.

### 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some

cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**980-410-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

## 25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

- i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

## > Decommissioning Costs

**980-410-25-1** Nuclear plant decommissioning costs are incurred costs in the current accounting framework. Those costs and the related liabilities are imposed by regulation or statute, similar to the liability to restore the land after strip mining. Accordingly, paragraph [980-405-25-1\(b\)](#) does not address those costs.

## > Costs from Asset Retirement Obligations

**980-410-25-2** Many rate-regulated entities currently provide for the costs related to the retirement of certain long-lived assets in their financial statements and recover those amounts in rates charged to their customers. Some of those costs result from asset retirement obligations within the scope of Subtopic [410-20](#); others result from costs that are not within the scope of that Subtopic. The amounts charged to customers for the costs related to the retirement of long-lived assets may differ from the period costs recognized in accordance with that Subtopic and, therefore, may result in a difference in the timing of recognition of period costs for financial reporting and rate-making purposes. An additional recognition timing difference may exist when the costs related to the retirement of long-lived assets are included in amounts charged to customers but liabilities are not recognized in the financial statements. If the requirements of this Topic are met, a regulated entity also shall recognize a regulatory asset or liability for differences in the timing of recognition of the period costs associated with asset retirement obligations for financial reporting pursuant to that Subtopic and rate-making purposes.

# 35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

**980-410-35-1** The capitalized amount of an asset retirement cost shall be included in the assessment of impairment of long-lived assets of a rate-regulated entity just as that cost is included in the assessment of impairment of long-lived assets of any other entity. Subtopic [980-360](#) applies to the asset retirement cost related to a long-lived asset of a rate-regulated entity that has been closed or abandoned.

# S00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**980-410-S00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                     | Action  | Accounting Standards Update                             | Date       |
|-------------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">980-410-S99-1</a> | Amended | <a href="#">Accounting Standards Update No. 2009-03</a> | 08/24/2009 |

# S25 Recognition

**General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Environmental Remediation Liabilities

**980-410-S25-1** See paragraph [980-410-S99-1](#), SAB Topic 10.F, Question 2, for SEC Staff views on the recognition of environmental remediation liabilities.

# S45 Other Presentation Matters

**General Note:**The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains

Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

### > Presentation of Liabilities for Environmental Costs

**980-410-S45-1** See paragraph [980-410-S99-1](#), SAB Topic 10.F, Question 1, for SEC Staff views on the presentation of environmental remediation liabilities.

## S99 SEC Materials

**i General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

### > SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 10.F, Presentation of Liabilities for Environmental Costs

**980-410-S99-1** The following is the text of SAB Topic 10.F, Presentation of Liabilities for Environmental Costs.

**Facts:** A public utility company determines that it is obligated to pay material amounts as a result of an environmental liability. These amounts may relate to, for example, damages attributed to clean-up of hazardous wastes, reclamation costs, fines, and litigation costs.

**Question 1:** May a rate-regulated enterprise present on its balance sheet the amount of its estimated liability for environmental costs net of probable future revenue resulting from the inclusion of such costs in allowable costs for rate-making purposes?

**Interpretive Response:** No. Statement 71 [paragraph [980-340-25-1](#)] specifies the conditions under which rate actions of a regulator can provide reasonable assurance of the existence of an asset. The staff believes that environmental costs meeting the criteria of paragraph 9 <sup>FN6</sup> of Statement 71 [paragraph [980-340-25-1](#)] should be presented on the balance sheet as an asset and should not be offset against the liability. Contingent recoveries through rates that do not meet the criteria of paragraph 9 [paragraph [980-340-25-1](#)] should not be recognized either as an asset or as a reduction of the probable liability.

FN6 Paragraph 9 of Statement 71 [paragraph [980-340-25-1](#)] requires a rate-regulated enterprise to capitalize all or part of an incurred cost that would otherwise be charged to expense if it is probable that future revenue will be provided to recover the previously incurred cost from inclusion of the costs in allowable costs for rate-making purposes.

Question 2: May a rate-regulated enterprise delay recognition of a probable and estimable liability for environmental costs which it has incurred at the date of the latest balance sheet until the regulator's deliberations have proceeded to a point enabling management to determine whether this cost is likely to be included in allowable costs for rate-making purposes?

Interpretive Response: No. Statement 5 [paragraph [450-20-25-2](#)] states that an estimated loss from a loss contingency shall be accrued by a charge to income if it is probable that a liability has been incurred and the amount of the loss can be reasonably estimated. <sup>FN7</sup> The staff believes that actions of a regulator can affect whether an incurred cost is capitalized or expensed pursuant to Statement 71 [paragraph [980-340-25-1](#)], but the regulator's actions cannot affect the timing of the recognition of the liability.

FN7 Registrants also should apply the guidance of SOP 96-1 [Section [410-30-25](#)] in determining the appropriate recognition of environmental remediation costs.

# 980 Regulated Operations

## 450 Contingencies

### 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

#### General

**980-450-05-1** This Subtopic provides guidance for contingencies for entities with regulated operations.

### 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-450-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

**980-450-25-1** Paragraph [450-20-25-2](#) specifies criteria for recording estimated losses from loss contingencies. A regulator may direct a regulated entity to include an amount for a contingency in [allowable costs](#) for rate-making purposes even though the amount does not meet those criteria for recording. If the regulator requires the entity to remain accountable for any amounts charged pursuant to such rates

and not yet expended for the intended purpose, the resulting increased charges to customers create a liability (see paragraph [980-405-25-1\(b\)](#)).

# 980 Regulated Operations

## 470 Debt

### 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

#### General

**980-470-05-1** This Subtopic provides guidance for debt for entities with regulated operations.

### 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**980-470-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Capitalize

Capitalize is used to indicate that the cost would be recorded as the cost of an asset. That procedure is often referred to as deferring a cost, and the resulting asset is sometimes described as a deferred cost.

## 40 Derecognition

**General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

## General

### > Early Extinguishment of Debt

- 980-470-40-1

Subtopic [470-50](#) requires recognition in income of a gain or loss on an early extinguishment of debt in the period in which the debt is extinguished. For rate-making purposes, the difference between the entity's net carrying amount of the extinguished debt and the reacquisition price may be amortized as an adjustment of interest expense over some future period.
- 980-470-40-2

If the debt is reacquired for an amount in excess of the entity's net carrying amount, the regulator's decision to increase future rates by amortizing the difference for rate-making purposes provides reasonable assurance of the existence of an asset (see paragraph [980-340-25-1](#)). Accordingly, the regulated entity shall [capitalize](#) the excess cost and amortize it over the period during which it will be allowed for rate-making purposes.
- 980-470-40-3

If the debt is reacquired for an amount that is less than the entity's net carrying amount, the regulator's decision to reduce future rates by amortizing the difference for rate-making purposes imposes a liability on the regulated entity (see paragraph [980-405-25-1\(c\)](#)). Accordingly, the entity would record the difference as a liability and amortize it over the period during which permitted rates will be reduced.

980 Regulated Operations

605 Regulated Operations—Revenue Recognition—Alternative Revenue Programs

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

980-605-00-1

| Paragraph                    | Action  | Accounting Standards Update                             | Date       |
|------------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">Contract</a>     | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">Customer</a>     | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">Revenue</a>      | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| <a href="#">980-605-05-1</a> | Amended | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |

|                            |            |                                                         |            |
|----------------------------|------------|---------------------------------------------------------|------------|
| 980-605-15-3               | Amended    | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| 980-605-15-3               | Amended    | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| 980-605-25-5 through 25-18 | Superseded | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| 980-605-30-2               | Amended    | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| 980-605-35-1               | Amended    | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| 980-605-45-1               | Added      | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |
| 980-605-50-1               | Amended    | <a href="#">Accounting Standards Update No. 2015-01</a> | 01/09/2015 |

## 05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**980-605-05-1** This Subtopic provides guidance for revenue recognition in alternative revenue programs.

## 15 Scope and Scope Exceptions

**General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

**i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

## General

### > Overall Guidance

**980-605-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#), with specific qualifications and exceptions noted below.

### > Entities

**980-605-15-2** The guidance in this Subtopic also applies to [nonutility generators](#) as they provide many of the services of entities with regulated operations.

### > Transactions

**980-605-15-3** The scope of this Subtopic excludes long-term power supply contracts if they are within the scope of Topic [842](#) on leases. For the considerations required to determine whether a long-term power sales contract arrangement contains a lease, see Subtopic [842-10](#).

## 20 Glossary

**i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### [Allowable Costs](#)

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

### Contract

An agreement between two or more parties that creates enforceable rights and obligations.

### Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

### Nonutility Generators

Entities owning electric generating plants built either for their own energy needs or to sell power, usually to rate-regulated entities, under long-term power sales contracts.

### Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

## 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

**i General Note for Fair Value Option:** Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

## General

### > Alternative Revenue Programs

- 980-605-25-1** Traditionally, regulated utilities whose rates are determined based on cost of service invoice their customers by applying approved base rates (designed to recover the utility's [allowable costs](#) including a return on shareholders' investment) to usage. Some regulators of utilities have also authorized the use of additional, alternative revenue programs. The major alternative revenue programs currently used can generally be segregated into two categories, Type A and Type B.
- 980-605-25-2** Type A programs adjust billings for the effects of weather abnormalities or broad external factors or to compensate the utility for demand-side management initiatives (for example, no-growth plans and similar conservation efforts). Type B programs provide for additional billings (incentive awards) if the utility achieves certain objectives, such as reducing costs, reaching specified milestones, or demonstratively improving customer service.
- 980-605-25-3** Both types of programs enable the utility to adjust rates in the future (usually as a surcharge applied to future billings) in response to past activities or completed events.
- 980-605-25-4** Once the specific events permitting billing of the additional revenues under Type A and Type B programs have been completed, the regulated utility shall recognize the additional revenues if all of the following conditions are met:
- a. The program is established by an order from the utility's regulatory commission that allows for automatic adjustment of future rates. Verification of the adjustment to future rates by the regulator would not preclude the adjustment from being considered automatic.
  - b. The amount of additional revenues for the period is objectively determinable and is probable of recovery.
  - c. The additional revenues will be collected within 24 months following the end of the annual period in which they are recognized.
- 980-605-25-5** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-6** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-7** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-8** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-9** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-10** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-11** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-12** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-13** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-14** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-15** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-16** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 980-605-25-17** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

**980-605-25-18** Paragraph superseded by Accounting Standards Update No. 2014-09.

## 30 Initial Measurement

**i General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

### General

#### > Alternative Revenue Programs—Revenue Collected Subject to Refund

**980-605-30-1** In some cases, a regulated entity is permitted to bill requested rate increases before the regulator has ruled on the request.

**980-605-30-2** When the revenue is originally recorded, the criteria in paragraph [450-20-25-2](#) shall determine whether a provision for estimated refunds shall be accrued as a loss contingency. The inability to make a reasonable estimate of the amount of the obligation at the time of sale because of significant uncertainty about possible claims precludes accrual and, if the range of possible loss is wide, may raise a question about whether revenue should be recognized. Similarly, if the range of possible refund is wide and the amount of the refund cannot be reasonably estimated, there may be a question about whether it would be misleading to recognize the provisional revenue increase as income.

## 35 Subsequent Measurement

**i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

### General

#### > Alternative Revenue Programs—Revenue Collected Subject to Refund

**980-605-35-1** If a provision for estimated refunds is required by the criteria in paragraph 450-20-25-2, it shall be adjusted subsequently if the estimate of the refund changes (see paragraph 980-405-25-1(a)).

## 45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

#### > Alternative Revenue Program Presentation

**980-605-45-1** **Revenue** arising from alternative revenue programs shall be presented separately from revenue arising from **contracts** with **customers** within the scope of Topic 606 in the statement of comprehensive income.

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

### General

#### > Refunds for Previously Recognized Revenue

**980-605-50-1** For refunds that are recognized in a period other than the period in which the related revenue was recognized and that have a material effect on net income, the entity shall disclose the effect on net income and indicate the years in which the related revenue was recognized. Such effect may be disclosed by including it, net of related income taxes, as a line item in the income statement.

# 980 Regulated Operations

## 710 Compensation—General

### 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

#### General

**980-710-05-1** This Subtopic provides guidance for compensation-related costs for entities with regulated operations.

### 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

#### General

##### > Overall Guidance

**980-710-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

### 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### > Compensated Absences

**980-710-25-1** Topic [710](#) specifies criteria for accrual of a liability for employees' compensation for future absences. For rate-making purposes, compensation for employees' absences may be included in [allowable costs](#) when the compensation is paid.

**980-710-25-2** The liability, if any, shall be accrued in accordance with Topic [710](#) because rate actions of the regulator cannot eliminate obligations that were not imposed by the regulator (see paragraph [980-405-40-1](#)). By including the accrued compensation in future allowable costs on an as-paid basis, the regulator provides reasonable assurance of the existence of an asset. The asset is the probable future benefit (increased revenue) that will result from the regulatory treatment of the subsequent payment of the liability (see paragraph [980-340-25-1](#)). Accordingly, the entity also shall record the asset that results from the regulator's actions.

## 980 Regulated Operations

# 715 Compensation—Retirement Benefits

## 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

**980-715-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                            | Action  | Accounting Standards Update                             | Date       |
|--------------------------------------|---------|---------------------------------------------------------|------------|
| <a href="#">Defined Benefit Plan</a> | Added   | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">980-715-15-1</a>         | Amended | <a href="#">Accounting Standards Update No. 2017-07</a> | 03/10/2017 |
| <a href="#">980-715-45-1</a>         | Added   | <a href="#">Accounting Standards Update No. 2017-07</a> | 03/10/2017 |
| <a href="#">980-715-55-7</a>         | Amended | <a href="#">Accounting Standards Update No. 2014-06</a> | 03/14/2014 |
| <a href="#">980-715-55-10</a>        | Amended | <a href="#">Accounting Standards Update No. 2017-07</a> | 03/10/2017 |
| <a href="#">980-715-55-25</a>        | Amended | <a href="#">Accounting Standards Update No. 2017-07</a> | 03/10/2017 |

## 05 Overview and Background

**General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**980-715-05-1** This Subtopic provides guidance for compensation related to pension costs and other postretirement benefit costs for entities with regulated operations.

#### > Postretirement Pension Cost

**980-715-05-2** This Subtopic provides guidance for the difference between net periodic pension cost as defined in Subtopic [715-30](#) and amounts of pension cost considered for rate-making purposes as an asset or a liability created by the actions of the regulator.

## > Other Postretirement Benefit Cost

**980-715-05-3** This Subtopic provides guidance for the difference between net periodic postretirement benefit cost as defined in Subtopic [715-60](#) and amounts of postretirement benefit cost considered for rate-making purposes as an asset or a liability created by the actions of the regulator.

# 15 Scope and Scope Exceptions

**i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-715-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#). Accordingly, the guidance related to the accounting for regulatory assets related to other postretirement benefit costs (see Subtopic [715-60](#)) is for rate-regulated entities that meet the criteria for applying this Topic. In addition, the provisions of paragraphs [715-30-35-7A](#) and [715-60-35-10A](#) shall not change the accounting for regulatory assets related to postretirement pension cost and other postretirement benefit cost for rate-regulated entities.

# 20 Glossary

**i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Defined Benefit Plan

A defined benefit plan provides participants with a determinable benefit based on a formula provided for in the plan.

- a. **Defined benefit health and welfare plans**—Defined benefit health and welfare plans specify a determinable benefit, which may be in the form of a reimbursement to the covered plan participant or a direct payment to providers or third-party insurers for the cost of specified services. Such plans may also include benefits that are payable as a lump sum, such as death benefits. The level of benefits may be defined or limited based on factors such as age, years of service, and salary. Contributions may be determined by the plan's actuary or be based on premiums, actual claims paid, hours worked, or other factors determined by the plan sponsor. Even when a plan is funded pursuant to agreements that specify a fixed rate of employer contributions (for example, a collectively bargained multiemployer plan), such a plan may nevertheless be a defined benefit health and welfare plan if its substance is to provide a defined benefit.
- b. **Defined benefit pension plan**—A pension plan that defines an amount of pension benefit to be provided, usually as a function of one or more factors such as age, years of service, or compensation. Any pension plan that is not a [defined contribution](#) pension plan is, for purposes of Subtopic [715-30](#), a defined benefit pension plan.
- c. **Defined benefit postretirement plan**—A plan that defines postretirement benefits in terms of monetary amounts (for example, \$100,000 of life insurance) or benefit coverage to be provided (for example, up to \$200 per day for hospitalization, or 80 percent of the cost of specified surgical procedures). Any postretirement benefit plan that is not a defined contribution postretirement plan is, for purposes of Subtopic [715-60](#), a defined benefit postretirement plan. (Specified monetary amounts and benefit coverage are collectively referred to as benefits.)

## Defined Contribution Plan

A plan that provides an individual account for each participant and provides benefits that are based on all of the following: amounts contributed to the participant's account by the employer or employee; investment experience; and any forfeitures allocated to the account, less any administrative expenses charged to the plan.

- a. **Defined contribution health and welfare plans**—Defined contribution health and welfare plans maintain an individual account for each plan participant. They have terms that specify the means of determining the contributions to participants' accounts, rather than the amount of benefits the participants are to receive. The benefits a plan participant will receive are limited to the amount contributed to the participant's account, investment experience, expenses, and any forfeitures allocated to the participant's account. These plans also include flexible spending arrangements.
- b. **Defined contribution postretirement plan**—A plan that provides postretirement benefits in return for services rendered, provides an individual account for each plan participant, and specifies how contributions to the individual's account are to be determined rather than specifies the amount of benefits the individual is to receive. Under a defined contribution postretirement plan, the benefits a plan participant will receive depend solely on the amount contributed to the plan participant's account, the returns earned on investments of those contributions, and the forfeitures of other plan participants' benefits that may be allocated to that plan participant's account.

## Incurred Cost

A cost arising from cash paid out or obligation to pay for an acquired asset or service, a loss from any cause that has been sustained and has been or must be paid for.

# 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Postretirement Pension Cost

**980-715-25-1** This Subtopic requires that the difference between net periodic pension cost as defined in Subtopic [715-30](#) and amounts of pension cost considered for rate-making purposes be recognized as an asset or a liability created by the actions of the regulator. Those actions of the regulator change the timing of recognition of net pension cost as an expense; they do not otherwise affect the requirements of that Subtopic.

**980-715-25-2** Example 1 (see paragraph [980-715-55-9](#)) illustrates accounting for pensions by an employer with regulated operations.

### > Other Postretirement Benefit Cost

#### · > Criteria for Recognizing Regulatory Assets for Postretirement Benefit Differences

**980-715-25-3** For purposes of this Subtopic, other postretirement benefits refer to all forms of benefits, other than pensions, provided by an employer to retirees.

**980-715-25-4** For continuing postretirement benefit plans, a regulatory asset related to Subtopic [715-60](#) costs shall not be recorded if the regulator continues to include other postretirement benefit costs in rates on a pay-as-you-go basis. The application of this Topic requires that a rate-regulated entity's rates be designed to recover the specific entity's costs of providing the regulated service or product. Accordingly, an entity's cost of providing a regulated service or product includes the costs provided for in Subtopic [715-60](#).

**980-715-25-5** For a continuing postretirement benefit plan a rate-regulated entity shall recognize a regulatory asset for the difference between Subtopic [715-60](#) costs and other postretirement benefit costs included in the entity's rates if the entity does both of the following:

- a. Determines that it is probable that future revenue in an amount at least equal to the deferred cost (regulatory asset) will be recovered in rates
- b. Meets all of the following criteria:
  1. The rate-regulated entity's regulator has issued a rate order or issued a policy statement or a generic order applicable to entities within the regulator's jurisdiction that allows both for the deferral of Subtopic [715-60](#) costs and for the subsequent inclusion of those deferred costs in the entity's rates.

2. The annual Subtopic 715-60 costs (including amortization of the transition obligation) will be included in rates within approximately five years from the date of adoption of that Subtopic. The change to full accrual accounting may take place in steps, but the period for deferring additional amounts shall not exceed approximately five years.

3. The combined deferral-recovery period authorized by the regulator for the regulatory asset shall not exceed approximately 20 years from the date of adoption of Subtopic 715-60. To the extent that the regulator imposes a deferral-recovery period for those costs provided for in Subtopic 715-60 greater than approximately 20 years, any proportionate amount of such costs not recoverable within approximately 20 years shall not be recognized as a regulatory asset.

4. The percentage increase in rates scheduled under the regulatory recovery plan for each future year shall be no greater than the percentage increase in rates scheduled under the plan for each immediately preceding year. This criterion is similar to that required for phase-in plans in paragraph 980-340-25-3(d). Recovery of the regulatory asset in rates on a straight-line basis would meet this criterion.

**980-715-25-6** This guidance applies to rate-regulated entities that elect to immediately recognize their postretirement benefit transition obligation under Subtopic 715-60 as well as those entities that elect to delay the recognition of and amortize their postretirement benefit transition obligation in accordance with that Subtopic.

**980-715-25-7** For discontinued plans, a regulatory asset related to Subtopic 715-60 costs shall be recorded if it is probable that future revenue in an amount at least equal to any deferred that Subtopic costs will be recovered in rates within approximately 20 years following the adoption of that Subtopic. Rate recovery during that period may continue on a pay-as-you-go basis. For purposes of this guidance, a discontinued plan is one that results in employees not earning additional benefits for future service (that is, one that has no current service costs).

#### · > Accounting for Regulatory Assets when Criteria Are Met in a Subsequent Period

**980-715-25-8** If an entity does not initially meet the criteria established in Section 980-715-25 but meets those criteria in a subsequent period, then a regulatory asset related to Subtopic 715-60 costs shall be recognized in the period those criteria are met.

## 45 Other Presentation Matters

**i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

**980-715-45-1** A rate-regulated entity shall present the amount of net periodic pension cost and net periodic postretirement benefit cost in accordance with the provisions of paragraph [715-20-45-3A](#).

## 50 Disclosure

**i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

### > Regulatory Treatment of Postretirement Benefit Costs

**980-715-50-1** A rate-regulated entity shall disclose in its financial statements a description of the regulatory treatment of postretirement benefit costs, the status of any pending regulatory action, the amount of any Subtopic [715-60](#) costs deferred as a regulatory asset at the balance sheet date, and the period over which the deferred amounts are expected to be recovered in rates.

## 55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

## General

**980-715-55-1** All implementation guidance and illustrations assume that the entity meets the criteria of paragraph [980-10-15-2](#) for the application of this Topic by the entity; thus recovery of any cost is probable if that cost is designated for future recovery by the regulator.

## > Implementation Guidance

### · > Effects of Applying Accounting for Pensions Guidance if Another Method Is Used for Rate-Making Purposes

- 980-715-55-2** An employer with regulated operations shall account for the effects of applying Subtopic 715-30 for financial reporting purposes even if another method of accounting for pensions is used for determining allowable pension cost for rate-making purposes.
- 980-715-55-3** As indicated in paragraph 980-715-25-1, Subtopic 715-30 applies to employers with regulated operations.
- 980-715-55-4** If this Subtopic applies to the employer, and the amount of net periodic pension cost determined under the method used for rate-making purposes differs from that determined under Subtopic 715-30, the difference would be either of the following:
- An asset if the criteria in paragraph 980-340-25-1 are met
  - A liability if the situation is as described in paragraph 980-405-25-1(b).
- 980-715-55-5** Usually, continued use of different methods for rate-making purposes and general-purpose external financial reporting purposes would result in either the criteria in paragraph 980-340-25-1 being met or the situation described in paragraph 980-405-25-1(b). However, if pension cost determined in accordance with Subtopic 715-30 exceeds pension cost determined in accordance with the method used in setting current rates, the criteria in paragraph 980-340-25-1 would not be met if both of the following conditions exist:
- It is probable that the regulator soon will accept a change for rate-making purposes so that pension cost is determined in accordance with Subtopic 715-30.
  - It is not probable that the regulator will provide revenue to recover the excess cost that results from the use of Subtopic 715-30 for financial reporting purposes during the period between the date that the employer adopts that Subtopic and the rate case implementing the change.
- 980-715-55-6** Similarly, if pension cost determined in accordance with the method used in setting current rates exceeds pension cost determined in accordance with Subtopic 715-30, the situation would not be as described in paragraph 980-405-25-1(b) if it is probable that all of the following conditions exist:
- The regulator soon will accept a change for rate-making purposes so that pension cost is determined in accordance with Subtopic 715-30.
  - The regulator will not hold the employer responsible for the costs that were intended to be recovered by the current rates and that have been deferred by the change in method.
  - The regulator will provide revenue to recover those same costs when they are eventually recognized under the method required by Subtopic 715-30.
- 980-715-55-7** Because a regulator cannot eliminate a liability that was not imposed by its actions, the need to recognize the underfunded status of a [defined benefit plan](#) as a liability under paragraphs 715-30-25-1 through 25-2 is unaffected by regulation.
- 980-715-55-8** See Example 1 (paragraphs 980-715-55-9) for the employer's accounting when paragraphs 980-340-25-1 and 980-405-25-1(b) apply.

> Illustrations

· > Example 1: Accounting for Pensions by an Employer with Regulated Operations

**980-715-55-9** This Example illustrates the guidance for recognition of postretirement pension cost in paragraph [980-715-25-1](#).

**980-715-55-10** An employer with regulated operations sponsors a defined benefit pension plan that is accounted for pursuant to Subtopic [715-30](#). To simplify the Example, it is assumed that there are no remaining differences between amounts previously recognized as net periodic pension cost and amounts allowable for rate-making purposes. The employer's determination of net periodic pension cost under that Subtopic, however, differs from that allowable for rate-making purposes in the timing of recognition of net periodic pension cost as an expense. The following schedule shows the amounts under both bases for the years 20X0-20X3.

| Year | Net periodic pension cost under Subtopic 715-30 | Allowable for Rate-Making | Difference for the Period | Cumulative Difference |
|------|-------------------------------------------------|---------------------------|---------------------------|-----------------------|
| 20X0 | \$ 120                                          | \$ 200                    | \$ (80)                   | \$ (80)               |
| 20X1 | 200                                             | 100                       | 100                       | 20                    |
| 20X2 | 170                                             | 140                       | 30                        | 50                    |
| 20X3 | 120                                             | 200                       | (80)                      | (30)                  |

**980-715-55-11** In 20X0, the amount allowable for rate-making purposes exceeds net periodic pension cost determined under Subtopic [715-30](#). In that case, paragraph [980-405-25-1\(b\)](#) requires the amount determined under Subtopic [715-30](#) (\$120) to be recognized as net periodic pension cost in the employer's financial statements.

**980-715-55-12** The difference (\$80) between net periodic pension cost determined under Subtopic [715-30](#) (\$120) and that allowable for rate-making purposes (\$200) is recognized as a liability (unearned revenue) and represents an amount collected or collectible for recovery of future pension cost. When that pension cost is incurred for financial reporting purposes, the liability (unearned revenue) shall be eliminated and revenue shall be recognized.

**980-715-55-13** The journal entries to account for the accrual of net periodic pension cost and the contribution made to the pension plan during the year are as follows.

Journal Entry 1

|                           |        |        |
|---------------------------|--------|--------|
| Net periodic pension cost | \$ 120 |        |
| Revenue                   | 80     |        |
| Pension liability         |        | \$ 120 |
| Unearned revenue          |        | 80     |

To record net periodic pension cost for the period and the liability created by actions of the regulator

Journal Entry 2

|                   |        |        |
|-------------------|--------|--------|
| Pension liability | \$ 200 |        |
| Cash              |        | \$ 200 |

To record contribution to pension plan

**980-715-55-14** No modifications of the disclosure required by paragraph [715-20-50-1\(h\)](#) are required in this case because the accounting required by this Topic does not change the amount of net periodic pension cost recognized under Subtopic [715-30](#). (See the table in paragraph [980-715-55-10](#).)

**980-715-55-15** In 20X1, the amount allowable for rate-making purposes is less than net periodic pension cost determined under Subtopic [715-30](#) by \$100. Of that amount, \$80 was allowable for rate-making purposes in 20X0. Therefore, the 20X0 unearned revenue of \$80 is recognized as revenue for 20X1. Paragraph [980-340-25-1](#) requires the remaining portion of the \$100 difference (\$20) to be capitalized as an [incurred cost](#) for which future recovery is assured by actions of the regulator.

**980-715-55-16** The journal entries to account for the accrual of net periodic pension cost and the contribution made to the pension plan during the year are as follows.

*Journal Entry 1*

|                                      |        |        |
|--------------------------------------|--------|--------|
| Net periodic pension cost            | \$ 180 |        |
| Capitalized cost for future recovery | 20     |        |
| Unearned revenue                     | 80     |        |
| Pension liability                    |        | \$ 200 |
| Revenue                              |        | 80     |

To record net periodic pension cost for the period and the asset created by actions of the regulator

*Journal Entry 2*

|                   |        |        |
|-------------------|--------|--------|
| Pension liability | \$ 100 |        |
| Cash              |        | \$ 100 |

To record contribution to pension plan

**980-715-55-17** In this case, the accounting required by this Topic changes the amount of net periodic pension cost that otherwise would have been recognized under Subtopic [715-30](#) requiring modification of the disclosure required by paragraph [715-20-50-1\(h\)](#). (See the table in paragraph [980-715-55-10](#).)

**980-715-55-18** In 20X2, the amount allowable for rate-making purposes is less than net periodic pension cost determined under Subtopic [715-30](#) by \$30. None of that amount was allowable for rate-making purposes in prior years. Paragraph [980-340-25-1](#) requires the \$30 to be capitalized as an incurred cost for which future recovery is assured by actions of the regulator.

**980-715-55-19** The journal entries to account for the accrual of net periodic pension cost and the contribution made to the pension plan during the year are as follows.

*Journal Entry 1*

|                                      |        |        |
|--------------------------------------|--------|--------|
| Net periodic pension cost            | \$ 140 |        |
| Capitalized cost for future recovery | 30     |        |
| Pension liability                    |        | \$ 170 |

To record net periodic pension cost for the period and the asset created by actions of the regulator

*Journal Entry 2*

|                   |        |        |
|-------------------|--------|--------|
| Pension liability | \$ 140 |        |
| Cash              |        | \$ 140 |

To record contribution to pension plan

**980-715-55-20** The situation in 20X2 is similar to that in 20X1, necessitating additional disclosure. (See the table in paragraph [980-715-55-10](#).)

**980-715-55-21** In 20X3, the amount allowable for rate-making purposes exceeds net periodic pension cost determined under Subtopic [715-30](#) by \$80. In prior years (20X1 and 20X2), \$50 of that amount was recognized as a capitalized cost.

**980-715-55-22** Accordingly, that capitalized cost (\$50) is expensed in 20X3. Additionally, paragraph [980-405-25-1](#) requires recognition of a liability (unearned revenue) equal to the remaining portion (\$30) of the amount allowable for rate-making purposes in excess of net periodic pension cost determined under Subtopic [715-30](#)  $[(\$200 - \$120) - \$50 = \$30]$ . When that pension cost is incurred for financial reporting purposes, the \$30 liability (unearned revenue) shall be eliminated and revenue shall be recognized.

**980-715-55-23** The journal entries to account for the accrual of net periodic pension cost and the contribution made to the pension plan during the year are as follows.

Journal Entry 1

|                                      |    |     |  |
|--------------------------------------|----|-----|--|
| Net periodic pension cost            | \$ | 170 |  |
| Revenue                              |    | 30  |  |
| Capitalized cost for future recovery | \$ | 50  |  |
| Pension liability                    |    | 120 |  |
| Unearned revenue                     |    | 30  |  |

To record net periodic pension cost for the period and the liability created by actions of the regulator

Journal Entry 2

|                   |    |     |        |
|-------------------|----|-----|--------|
| Pension liability | \$ | 200 |        |
| Cash              |    |     | \$ 200 |

To record contribution to pension plan

**980-715-55-24** The situation in 20X3 is similar to that in 20X1 and 20X2, necessitating additional disclosure. (See the table in paragraph [980-715-55-10](#).)

**980-715-55-25** The following illustrates the disclosure of the components of net periodic pension cost for 20X0-20X3. It is assumed that there is no transition asset or obligation remaining in accumulated other comprehensive income and there are no gains or losses for the four-year period.

|                                                               | 20X0   | 20X1   | 20X2   | 20X3   |
|---------------------------------------------------------------|--------|--------|--------|--------|
| Service cost <sup>(a)</sup>                                   | \$ XXX | \$ XXX | \$ XXX | \$ XXX |
| Interest cost <sup>(a) (b)</sup>                              | XXX    | XXX    | XXX    | XXX    |
| Expected return on plan assets <sup>(a) (b)</sup>             | (XXX)  | (XXX)  | (XXX)  | (XXX)  |
| Net amortization and deferral <sup>(b)</sup>                  | -      | -      | -      | -      |
| Net periodic pension cost determined under Subtopic 715-30    | 120    | 200    | 170    | 120    |
| Amount (capitalized) expensed due to actions of the regulator |        | (20)   | (30)   | 50     |
| Net periodic pension cost recognized                          | \$ 120 | \$ 180 | \$ 140 | \$ 170 |

(a) Amounts are excluded for illustrative purposes only.  
(b) The components of net periodic pension cost other than the service cost component are included in the line item "other income/(expense)" in the income statement.

980 Regulated Operations

740 Income Taxes

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**980-740-05-1** This Subtopic provides guidance on accounting for income taxes for entities with regulated operations.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-740-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

### Allowance for Funds Used during Construction

The cost of financing construction as financed partially by borrowings and partially by equity, capitalized as part of the cost of plant and equipment pursuant to requirements of the regulator.

### Capitalize

Capitalize is used to indicate that the cost would be recorded as the cost of an asset. That procedure is often referred to as deferring a cost, and the resulting asset is sometimes described as a deferred cost.

### Incurred Cost

A cost arising from cash paid out or obligation to pay for an acquired asset or service, a loss from any cause that has been sustained and has been or must be paid for.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Income Taxes Applicable to Regulated Entities

- 980-740-25-1** For regulated entities that meet the criteria for application of paragraph [980-10-15-2](#), this Subtopic specifically:
- a. Prohibits net-of-tax accounting and reporting
  - b. Requires recognition of a deferred tax liability for tax benefits that are flowed through to customers when temporary differences originate and for the equity component of the [allowance for funds used during construction](#)
  - c. Requires adjustment of a deferred tax liability or asset for an enacted change in tax laws or rates.
- 980-740-25-2** If, as a result of an action by a regulator, it is probable that the future increase or decrease in taxes payable for (b) and (c) in the preceding paragraph will be recovered from or returned to customers

through future rates, an asset or liability shall be recognized for that probable future revenue or reduction in future revenue pursuant to paragraphs [980-340-25-1](#) and [980-405-25-1](#). That asset or liability also shall be a temporary difference for which a deferred tax liability or asset shall be recognized.

**980-740-25-3** Example 1 (see paragraph [980-740-55-8](#)) illustrates recognition of an asset for the probable revenue to recover future income taxes.

**980-740-25-4** Example 2 (see paragraph [980-740-55-13](#)) illustrates adjustment of a deferred tax liability when the liability represents amounts already collected from customers.

## 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

### General

#### > Implementation Guidance

##### · > Asset Resulting from Recognition of Deferred Tax Liability

**980-740-55-1** Paragraph [980-340-25-1](#) requires a regulated entity that applies this Topic to [capitalize](#) an [incurred cost](#) that would otherwise be charged to expense if the following criteria are met:

- a. It is probable that future revenue in an amount at least equal to the capitalized cost will result from inclusion of that cost in [allowable costs](#) for rate-making purposes.
- b. Based on available evidence, the future revenue will be provided to permit recovery of the previously incurred cost rather than to provide for expected levels of similar future costs.

If the income taxes that result from recording a deferred tax liability in accordance with Subtopic [740-10](#) meet those criteria, an asset is recognized for those income taxes when the deferred tax liability is recognized. That asset and the deferred tax liability are not offset for general-purpose financial reporting; rather, each is displayed separately.

##### · > Income Taxes for Abandoned Plants

**980-740-55-2** When a loss on abandonment is recognized, the amount of deferred income taxes related to the remaining asset shall be determined as indicated in the following guidance.

- 980-740-55-3** While under construction, a utility's plant has a recorded cost that consists of the following three separate elements for income tax purposes:
- Costs that will be deductible in the future, either as depreciation or (in the event that the plant is abandoned) as an abandonment loss
  - Costs that have been deducted in the past
  - Costs that are never deductible (the [allowance for equity funds used during construction](#)).
- 980-740-55-4** An abandonment loss generally is deductible for federal income tax purposes when the abandonment occurs. That tax deduction is allowed without regard to the rate-making treatment applied to the recorded cost of the abandoned plant.
- 980-740-55-5** When a regulator is expected to provide recovery of the cost of an abandoned plant without return on investment, Subtopic [980-360](#) requires a portion of the cost of the abandoned plant to be recognized as a loss, equivalent to the present value of the effective disallowance of return on investment.
- 980-740-55-6** Deferred income tax liabilities, related to the remaining asset and the recovery of a separate asset recognized to reflect the future revenue that is expected to be provided in rates by the regulator when the income taxes become payable, shall be recorded under the requirements of Subtopic [740-10](#).

## > Illustrations

- 980-740-55-7** All the Examples assume that the entity meets the criteria in paragraph [980-10-15-2](#) for the application of this Topic by the entity.

### · > Example 1: Recognition of an Asset for the Probable Revenue to Recover Future Income Taxes

- 980-740-55-8** This Example illustrates the guidance in paragraphs [980-740-25-1 through 25-2](#). The following Cases illustrate the recognition of an asset related to a deferred tax liability:
- Recognition of an asset for the probable future revenue to recover future income taxes related to the deferred tax liability for the equity component of the allowance for funds used during construction (Case A)
  - A subsequent adjustment of deferred tax liability for an enacted change in tax rates (Case B).
- 980-740-55-9** Cases A and B share all of the following assumptions:
- During Year 1, the first year of operations, total construction costs for financial reporting and tax purposes are \$400,000 (exclusive of the allowance for funds used during construction).
  - The enacted tax rate is 34 percent for all future years.
  - Allowance for funds used during construction (consisting entirely of the equity component) is \$26,000. The asset for probable future revenue to recover the related income taxes is calculated as follows:
    - 34 percent of  $(\$26,000 + A) = A$  (where A equals the asset for probable future revenue)
    - $A = \$13,394$ .

### · · > Case A: Asset Recognition Related to the Equity Component of the Allowance for Funds Used During Construction

- 980-740-55-10** At the end of Year 1, the related accounts are as follows.

|                                                                 |                  |
|-----------------------------------------------------------------|------------------|
| Construction in progress                                        | <u>\$426,000</u> |
| Probable future revenue                                         | <u>\$ 13,394</u> |
| Deferred tax liability [34 percent<br>of (\$26,000 + \$13,394)] | <u>\$ 13,394</u> |

**980-740-55-11** In this Case, if the allowance for funds used during construction had consisted entirely of a net-of-tax debt component in the amount of \$26,000, the related accounts and their balances at the end of Year 1 would be construction in progress in the amount of \$439,394 and a deferred tax liability in the amount of \$13,394.

#### · · > Case B: Enacted Change in Tax Rates

**980-740-55-12** This Case illustrates adjustment of a deferred tax liability for an enacted change in tax rates. In this Case, a change in the tax rate from 34 percent to 30 percent is enacted on the first day of Year 2. As of the first day of Year 2, the related accounts are adjusted so that the balances are as follows.

|                                                                 |                  |
|-----------------------------------------------------------------|------------------|
| Construction in progress                                        | <u>\$426,000</u> |
| Probable future revenue                                         | <u>\$ 11,143</u> |
| Deferred tax liability [30 percent<br>of (\$26,000 + \$11,143)] | <u>\$ 11,143</u> |

#### · > Example 2: Enacted Change in Tax Rates when Deferred Tax Liability Represents Amounts Collected for Future Payment of Income Taxes

**980-740-55-13** This Example illustrates adjustment of a deferred tax liability for an enacted change in tax rates when that deferred tax liability represents amounts already collected from customers for the future payment of income taxes discussed in paragraphs [980-740-25-1](#) through [25-2](#). In that case, there would be no asset for probable future revenue. This Example has the following assumptions:

a. Amounts at the end of Year 1, the current year, are as follows.

|                                                     |                   |
|-----------------------------------------------------|-------------------|
| Construction in progress for<br>financial reporting | <u>\$ 400,000</u> |
| Tax basis of construction in<br>progress            | <u>\$ 300,000</u> |
| Deferred tax liability (34 percent<br>of \$100,000) | <u>\$ 34,000</u>  |

b. A change in the tax rate from 34 percent to 30 percent is enacted on the first day of Year 2. As a result of the reduction in tax rates, it is probable that \$4,000 of the \$34,000 (previously collected from customers for the future payment of income taxes) will be refunded to customers, together with the tax benefit of that refund, through a future rate reduction. The liability for the future rate reduction to refund a portion of the deferred taxes previously collected from customers is calculated as follows:

$$\$4,000 + (30 \text{ percent of } R) = R \text{ (where } R \text{ equals the probable future reduction in revenue)}$$

c.  $R = \$5,714$ .

**980-740-55-14** As of the first day of Year 2, the related accounts are adjusted so that the balances are as follows.

|                                                                 |                  |
|-----------------------------------------------------------------|------------------|
| Construction in progress                                        | <u>\$400,000</u> |
| Probable reduction in future<br>revenue                         | <u>\$ 5,714</u>  |
| Deferred tax liability [30 percent<br>of (\$100,000 — \$5,714)] | <u>\$ 28,286</u> |

## 980 Regulated Operations

# 810 Consolidation

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**980-810-05-1** This Subtopic provides guidance on consolidation for entities with regulated operations.

## 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

**980-810-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

## 45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections.

Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

# General

## > Affiliated Sales

- 980-810-45-1**

Profit on sales to regulated affiliates shall not be eliminated in general-purpose financial statements if both of the following criteria are met:

  - a. The sales price is reasonable.
  - b. It is probable that, through the rate-making process, future revenue approximately equal to the sales price will result from the regulated affiliate's use of the products.
- 980-810-45-2**

The sales price usually shall be considered reasonable if the price is accepted or not challenged by the regulator that governs the regulated affiliate. Otherwise, reasonableness shall be considered in light of the circumstances. For example, reasonableness might be judged by the return on investment earned by the manufacturing or construction operations or by a comparison of the transfer prices with prices available from other sources.

# S00 Status

**i General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

# General

**980-810-S00-1**

The following table identifies the changes made to this Subtopic.

| Paragraph                     | Action     | Accounting Standards Update                             | Date       |
|-------------------------------|------------|---------------------------------------------------------|------------|
| <a href="#">980-810-S45-1</a> | Superseded | <a href="#">Accounting Standards Update No. 2018-04</a> | 03/09/2018 |
| <a href="#">980-810-S99-1</a> | Superseded | <a href="#">Accounting Standards Update No. 2018-04</a> | 03/09/2018 |

# S45 Other Presentation Matters

**General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

**980-810-S45-1** Paragraph superseded by Accounting Standards Update No. 2018-04.

### > Financing Through Construction Intermediaries

**980-810-S45-2** See paragraph [980-810-S99-2](#), SAB Topic 10.A, for SEC Staff views on the presentation of construction work in progress and related liabilities and interest expense being financed through a construction intermediary.

## S50 Disclosure

**General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

### > Financing Through Construction Intermediaries

**980-810-S50-1** See paragraph [980-810-S99-2](#), SAB Topic 10.A, for SEC Staff views on disclosures when construction is financed through an intermediary.

## S99 SEC Materials

**General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

## General

**980-810-S99-1** Paragraph superseded by Accounting Standards Update No. 2018-04.

### > SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 10.A, Financing by Electric Utility Companies Through Use of Construction Intermediaries

**980-810-S99-2** The following is the text of SAB Topic 10.A, Financing by Electric Utility Companies Through Use of Construction Intermediaries.

**Facts:** Some electric utility companies finance construction of a generating plant or their share of a jointly owned plant through the use of a "construction intermediary" which may be organized as a trust or a corporation. Typically the utility assigns its interest in property and other contract rights to the construction intermediary with the latter authorized to obtain funds to finance construction with term loans, bank loans, commercial paper and other sources of funds and that may be available. The intermediary's borrowings are guaranteed in part of the work in progress but more significantly, although indirectly, by the obligation of the utility to purchase the project upon completion and assume or otherwise settle the borrowings. The utility may be committed to provide any deficiency of funds which the intermediary cannot obtain and excess funds may be loaned to the utility by the intermediary. (In one case involving construction of an entire generating plant, the intermediary appointed the utility as its agent to complete construction.) On the occurrence of an event such as commencement of the testing period for the plant or placing the plant in commercial service (but not later than a specified date) the interest in the plant reverts to the utility and concurrently the utility must either assume the obligations issued by the intermediary or purchase them from the holders. The intermediary also may be authorized to borrow amounts for accrued interest when due and those amounts are added to the balance of the outstanding indebtedness. Interest is thus capitalized during the construction period at rates being charged by the lenders; however, it is deductible by the utility for tax purposes in the year of accrual.

**Question:** How should construction work in progress and related liabilities and interest expense being financed through a construction intermediary be reflected in an electric utility's financial statements?

**Interpretive Response:** The balance sheet of an electric utility company using a construction intermediary to finance construction should include the intermediary's work in progress in the appropriate caption under utility plant. The related debt should be included in long-term liabilities and disclosed either on the balance sheet or in a note.

The amount of interest cost incurred and the respective amounts expensed or capitalized shall be disclosed for each period for which an income statement is presented. Consequently, capitalized interest included as part of an intermediary's construction work in progress on the balance sheet

should be recognized on the current income statement as interest expense with a corresponding offset to allowance for borrowed funds used during construction. Income statements for prior periods should also be restated. The amounts may be shown separately on the statement or included with interest expense and allowance for borrowed funds used during construction.

A note to the financial statements should describe briefly the organization and purpose of the intermediary and the nature of its authorization to incur debt to finance construction. The note should disclose the rate at which interest on this debt has been capitalized and the dollar amount for each period for which an income statement is presented.

980 Regulated Operations

815 Derivatives and Hedging

00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

980-815-00-1

| The following table identifies the changes made to this Subtopic. |         |                                                         |            |  |
|-------------------------------------------------------------------|---------|---------------------------------------------------------|------------|--|
| Paragraph                                                         | Action  | Accounting Standards Update                             | Date       |  |
| <a href="#">All-in-One Hedge</a>                                  | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |  |
| <a href="#">Contract</a>                                          | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |  |
| <a href="#">Nonutility Generators</a>                             | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |  |
| <a href="#">980-815-05-1</a>                                      | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |  |
| <a href="#">980-815-15-1 through 15-3</a>                         | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |  |
| <a href="#">980-815-15-3</a>                                      | Amended | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |  |
| <a href="#">980-815-25-1 through 25-6</a>                         | Added   | <a href="#">Accounting Standards Update No. 2014-09</a> | 05/28/2014 |  |

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

### General

**980-815-05-1** This Subtopic provides guidance for long-term power sales contracts.

## 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

### General

#### > Overall Guidance

**980-815-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic; see Section [980-10-15](#), with specific qualifications and exceptions noted below.

#### > Entities

**980-815-15-2** The guidance in this Subtopic applies to [nonutility generators](#) as they provide many of the services of entities with regulated operations.

#### > Transactions

**980-815-15-3** The scope of this Subtopic excludes long-term power supply contracts if they are within the scope of Topic [842](#) on leases. For the considerations required to determine whether a long-term power sales contract arrangement contains a lease, see Subtopic [842-10](#).

## 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### All-in-One Hedge

In an all-in-one hedge, a derivative instrument that will involve gross settlement is designated as the hedging instrument in a cash flow hedge of the variability of the consideration to be paid or received in the forecasted transaction that will occur upon gross settlement of the derivative instrument itself.

### Contract

An agreement between two or more parties that creates enforceable rights and obligations.

### Nonutility Generators

Entities owning electric generating plants built either for their own energy needs or to sell power, usually to rate-regulated entities, under long-term power sales contracts.

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

#### > Long-Term Power Sales Contracts

**980-815-25-1** In general, [nonutility generators](#) are not regulated and do not meet the criteria of an entity with regulated operations as provided in paragraph [980-10-15-2](#). However, since nonutility generators

provide many of the same services as entities with regulated operations, the guidance for nonutility generators on accounting for [contracts](#) that meet the definition of a derivative is included in paragraphs [980-815-25-4 through 25-6](#). That portion of this Subsection assumes the seller of power under the long-term contract does not meet the criteria for application of this Topic.

**980-815-25-2** Nonutility generators provide a significant percentage of new electric generating capacity in the United States. Some of these generating plants are built by users primarily for their own energy needs while others are built specifically to sell power, usually to rate-regulated utilities, under long-term power sales contracts. Those contracts price the power sold under a wide variety of terms and arrangements.

**980-815-25-3** The long-term power sales contracts may provide for any of the following:

- Stated prices per kilowatt hour that increase, decrease, or remain level over the term of the contract
- Formula-based prices per kilowatt hour
- Billings that are a combination of stated prices and formula-based prices per kilowatt hour.

#### · > Contracts Meeting Definition of Derivative

**980-815-25-4** If a long-term power sales contract meets the definition of a derivative under Topic [815](#), then it would be marked to fair value through earnings, unless designated as a hedging instrument in certain types of hedging relationships. Otherwise, the guidance in Topic [606](#) on revenue from contracts with customers would apply. Some long-term power sales contracts that meet the definition of a derivative may qualify for the normal purchases and normal sales scope exception contained in paragraph [815-10-15-13\(b\)](#), in which case the long-term power sales contract would be accounted for under this Section.

**980-815-25-5** Long-term power sales contracts that are accounted for as derivatives may possibly qualify as hedging instruments in [all-in-one hedges](#). The guidance in Section [815-10-55](#) may be relevant.

**980-815-25-6** For a discussion of issues involved in accounting for derivative contracts held for trading purposes and contracts involved in energy trading and risk management activities, see paragraph [815-10-45-9](#).

## 980 Regulated Operations

### 835 Interest

## 05 Overview and Background

**i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**980-835-05-1** This Subtopic provides guidance on accounting for interest for entities with regulated operations.

# 15 Scope and Scope Exceptions

**General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-835-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

### Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

### Allowance for Funds Used during Construction

The cost of financing construction as financed partially by borrowings and partially by equity, capitalized as part of the cost of plant and equipment pursuant to requirements of the regulator.

## Capitalize

Capitalize is used to indicate that the cost would be recorded as the cost of an asset. That procedure is often referred to as deferring a cost, and the resulting asset is sometimes described as a deferred cost.

# 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Construction Financing Cost Capitalization

- 980-835-25-1** In some cases, a regulator requires an entity subject to its authority to [capitalize](#), as part of the cost of plant and equipment, the cost of financing construction as financed partially by borrowings and partially by equity. This cost of financing construction is referred to as an [allowance for funds used during construction](#).
- 980-835-25-2** If the specific criteria in paragraph [980-835-35-1](#) are met but an allowance for funds used during construction is not capitalized because its inclusion in the cost that will become the basis for future rates is not probable, the regulated entity may not alternatively capitalize interest cost in accordance with Subtopic [835-20](#).
- 980-835-25-3** If completion of a plant under construction is reasonably possible but no longer probable, and the regulator in the governing jurisdiction routinely disallows accumulated allowance for funds used during construction on abandoned plants, the criteria required to write off such previously recognized amounts are not met since disallowance is not probable; thus, such previously capitalized amounts shall not be written off. However, because inclusion of allowance for funds used during construction in the cost allowed for future rates is no longer probable, further capitalization of such amounts is not warranted.
- 980-835-25-4** Assume that a prudence investigation is in process or has taken place, and a disallowance of cost (including subsequent allowance for funds used during construction on those costs) is reasonably possible, and that the range of such disallowance is from zero to some maximum amount, with no point within the range being more likely than any other. In that situation, because a disallowance of the maximum amount in the range is reasonably possible and thus inclusion of that amount in rates is no longer probable, subsequent capitalization of allowance for funds used during construction shall be discontinued for an amount of costs equal to the maximum amount that is within the range.

## 30 Initial Measurement

- i General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

### General

- 980-835-30-1** If a regulator requires an entity to capitalize certain costs as discussed in paragraph [980-835-25-1](#), a computed interest cost and a designated cost of equity funds are capitalized, and net income for the current period is increased by a corresponding amount. In such cases, the amounts capitalized for rate-making purposes as part of the cost of acquiring the assets shall be capitalized for financial reporting purposes instead of the amount of interest that would be capitalized in accordance with Subtopic [835-20](#). Those amounts shall be capitalized only if their subsequent inclusion in [allowable costs](#) for rate-making purposes is probable.

## 35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

### General

- 980-835-35-1** After construction is completed, the resulting capitalized cost, including the [allowance for funds used during construction](#), is the basis for depreciation and unrecovered investment for rate-making purposes.

## 45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash

flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

**980-835-45-1** The income statement shall include an item of other income, a reduction of interest expense, or both, in a manner that indicates the basis for the amount of construction financing cost capitalized as required by paragraph [980-835-25-1](#).

# 980 Regulated Operations

## 840 Leases

## 00 Status

**General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**980-840-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph                                 | Action     | Accounting Standards Update                             | Date       |
|-------------------------------------------|------------|---------------------------------------------------------|------------|
| Allowable Costs                           | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| Phase-In Plan                             | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| <a href="#">980-840-05-1</a>              | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| <a href="#">980-840-15-1</a>              | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| <a href="#">980-840-25-1 through 25-3</a> | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| <a href="#">980-840-35-1</a>              | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
| <a href="#">980-840-35-2</a>              | Superseded | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |

|                           |            |                                                                                                                |            |
|---------------------------|------------|----------------------------------------------------------------------------------------------------------------|------------|
| 980-840-45-1 through 45-4 | Superseded | Accounting Standards Update No. 2016-02                                                                        | 02/25/2016 |
| 980-840-55-1              | Amended    | Maintenance Update 2016-11  | 06/27/2016 |
| 980-840-55-1              | Superseded | Accounting Standards Update No. 2016-02                                                                        | 02/25/2016 |

# 05 Overview and Background

**i General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**980-840-05-1** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

# 15 Scope and Scope Exceptions

**i General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

**980-840-15-1** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## 25 Recognition

**General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

### General

**980-840-25-1** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

**980-840-25-2** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

**980-840-25-3** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

## 35 Subsequent Measurement

**General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

### General

**980-840-35-1** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

**980-840-35-2** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

## 45 Other Presentation Matters

**General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

**980-840-45-1** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

**980-840-45-2** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

**980-840-45-3** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

**980-840-45-4** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

## 55 Implementation Guidance and Illustrations

**General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

### General

**980-840-55-1** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

# 980 Regulated Operations

## 842 Leases

### 00 Status

**General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

### General

|              |                                                                   |        |                                                         |            |
|--------------|-------------------------------------------------------------------|--------|---------------------------------------------------------|------------|
| 980-842-00-1 | The following table identifies the changes made to this Subtopic. |        |                                                         |            |
|              | Paragraph                                                         | Action | Accounting Standards Update                             | Date       |
|              | Allowable Costs                                                   | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | Phase-In Plan                                                     | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-842-05-1                                                      | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-842-15-1                                                      | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-842-25-1 through 25-3                                         | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-842-35-1                                                      | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-842-45-1 through 45-4                                         | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |
|              | 980-842-55-1                                                      | Added  | <a href="#">Accounting Standards Update No. 2016-02</a> | 02/25/2016 |

## 05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**980-842-05-1** This Subtopic provides guidance on accounting for leases for entities with regulated operations.

# 15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**980-842-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [980-10-15](#).

# 20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

## Allowable Costs

All costs for which revenue is intended to provide recovery. Those costs can be actual or estimated. In that context, allowable costs include interest cost and amounts provided for earnings on shareholders' investments.

## Phase-In Plan

Any method of recognition of allowable costs in rates that meets all of the following criteria:

- a. The method was adopted by the regulator in connection with a major, newly completed plant of the regulated entity or of one of its suppliers or a major plant scheduled for completion in the near future.
- b. The method defers the rates intended to recover allowable costs beyond the period in which those allowable costs would be charged to expense under generally accepted accounting principles (GAAP) applicable to entities in general.
- c. The method defers the rates intended to recover allowable costs beyond the period in which those rates would have been ordered under the rate-making methods routinely used prior to 1982 by that regulator for similar allowable costs of that regulated entity.

# 25 Recognition

**i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

## General

### > Sale and Leaseback Transactions

**980-842-25-1** Accounting for sale and leaseback transactions in accordance with the guidance in Subtopic [842-40](#) may result in a difference between the timing of income and expense recognition required by that Subtopic and the timing of income and expense recognition for rate-making purposes.

**980-842-25-2** That difference shall be accounted for as follows:

- a. If the difference in timing of income and expense recognition constitutes all or a part of a [phase-in plan](#), it shall be accounted for in accordance with Subtopic [980-340](#).
- b. Otherwise, the timing of income and expense recognition related to the sale and leaseback transaction shall be modified as necessary to conform to the Regulated Operations Topic. That modification required for a transaction that is accounted for as a financing is further described in the following paragraph and paragraphs [980-840-35-1 through 35-2](#).

- 980-842-25-3** The difference between the amount of income or expense recognized for a transaction that is not part of a phase-in plan and that is accounted for as a financing under Subtopic [842-40](#) and the amount of income or expense included in allowable cost for rate-making purposes shall be capitalized or accrued as a separate regulatory-created asset or liability, as appropriate, if that difference meets the criteria of the Regulated Operations Topic.

## 35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

### General

#### > Sale and Leaseback Transactions

- 980-842-35-1** If the sale and leaseback transaction is accounted for as a financing and the sale is recognized for rate-making purposes, the total of interest imputed under the interest method for the financing and the depreciation of the underlying asset shall be modified to equal the total lease expense and the gain or loss allowable for rate-making purposes.

## 45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

### General

#### > Treatment of Leases for Rate-Making Purposes

- 980-842-45-1** Topic [842](#) specifies criteria for classification of leases and the method of accounting for each type of lease. For rate-making purposes, a lease may be treated as an operating lease even though the lease would be classified as a finance lease under those criteria. In effect, the amount of the lease payment is included in [allowable costs](#) as rental expense in the period it covers.
- 980-842-45-2** For financial reporting purposes, the classification of the lease is not affected by the regulator's actions. The regulator cannot eliminate an obligation that was not imposed by the regulator (see paragraph [980-405-40-1](#)). Also, by including the lease payments as allowable costs, the regulator sets rates that will provide revenue approximately equal to the combined amount of the right-of-use asset and interest on the lease liability over the term of the lease and, thus, provides reasonable assurance of the existence of an asset (see paragraph [980-340-25-1](#)). Accordingly, regulated entities shall classify leases in accordance with Topic [842](#).
- 980-842-45-3** The nature of the expense elements related to a finance lease (amortization of the right-of-use asset and interest on the lease liability) is not changed by the regulator's action; however, the timing of expense recognition related to the lease would be modified to conform to the rate treatment. Thus, amortization of the right-of-use asset shall be modified so that the total of interest on the lease liability and amortization of the right-of-use asset shall equal the lease expense that was allowed for rate-making purposes. For newly completed plants such regulatory treatment could result in a [phase-in plan](#) as defined in Subtopic [980-340](#).
- 980-842-45-4** Paragraph [842-20-45-4](#) states that an entity is not required to classify the interest expense and amortization of the right-of-use asset in a finance lease as separate items in an income statement. For example, the amounts of amortization of the right-of-use asset and interest on the related lease liability could each be combined with other costs and presented in a manner consistent with how the entity presents depreciation or amortization of similar assets and other interest expense. However, the disclosure of total interest cost incurred, required by Subtopic [835-20](#), shall include the interest on that lease liability, and the disclosure of the total amortization of the entity's right-of-use assets arising under a finance lease and interest on finance lease liabilities, required by Section [842-20-50](#), shall include amortization of that right-of-use asset and interest on that lease liability.

## 55 Implementation Guidance and Illustrations

**i General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

### General

#### > Implementation Guidance

## · > Income Statement Classification

**980-842-55-1** Paragraph [842-20-45-4](#) states that an entity is not required to classify the interest expense and amortization of the right-of-use asset in a finance lease as separate items in an income statement. However, that paragraph also states that the interest expense and the amortization of the right-of-use asset in a finance lease should be presented in a manner consistent with how the entity presents depreciation or amortization of similar assets and other interest expense. For example, the amounts of amortization of the right-of-use asset and interest on the related lease liability could each be combined with other costs and presented in a manner consistent with how the entity presents depreciation or amortization of similar assets and other interest expense. However, in that circumstance, the disclosure of total interest cost incurred, required by Subtopic [835-20](#), would include the interest on that lease liability, and the disclosure of the total amortization of the entity's right-of-use assets arising under a finance lease and interest on finance lease liabilities, required by Section [842-20-50](#), would include amortization of that right-of-use asset and interest on that lease liability.